

Global Economic Outlook & Strategy

Turmoil in the Middle East—Assessing the Longer-term Implications



CITI'S TAKE

With Iran-related headwinds persisting, we have trimmed our expectations for global growth to 2.7% this year. In tandem, we have marked up our forecast for global headline inflation to 3.3%. These revisions reflect the imprint of higher oil prices and accompanying supply-chain disruptions. We continue to view our projections as provisional—and are prepared to revise as events require. While we see evidence from both sides that the appetite for further conflict may be waning, we also judge that the risks to our forecast remain skewed to the downside. As such, we also consider an adverse scenario in which renewed tensions could push Brent oil prices to \$120/barrel through the end of the year. We estimate this could drive down global growth to between 1.5% and 2% and lift headline inflation to nearly 5%.

Uncertainty vs. Resilience—With the ongoing disruptions in oil markets, the global economy faces a broad range of uncertainties. Such concerns, however, should be balanced against the competing reality of increased economic resilience. The global economy in recent years has endured the pandemic, the Russia-Ukraine war, surging inflation, rapid central bank rate hikes, and President Trump's evolving tariffs. In each case, the economy has successfully shaken off the shocks, and growth has continued at a solid, near-trend pace.

Longer-Term Lessons from This Episode—Countries are likely to diversify their energy sourcing to avoid concentrated dependence on any single supplier or geographical chokepoint. For example, flows through the Strait have accounted for 60% of Korea's oil consumption and nearly 50% of Japan's. Countries are also likely to take steps toward increased energy independence. This could include tapping undeveloped energy resources, boosting strategic oil inventories, and increasing reliance on nuclear power and renewables.

Reforming the International Economic System—The evolving policies of the Trump Administration have led to intensified introspection by policymakers around the world regarding the features and functioning of the global economic order. We are clearly in a period of flux—in our view comparable to the unwinding of the Bretton Woods system in the early 1970s—and the situation requires fresh thinking and perspectives. Such reforms can be complex and difficult. But they also have the potential to bring important new opportunities.

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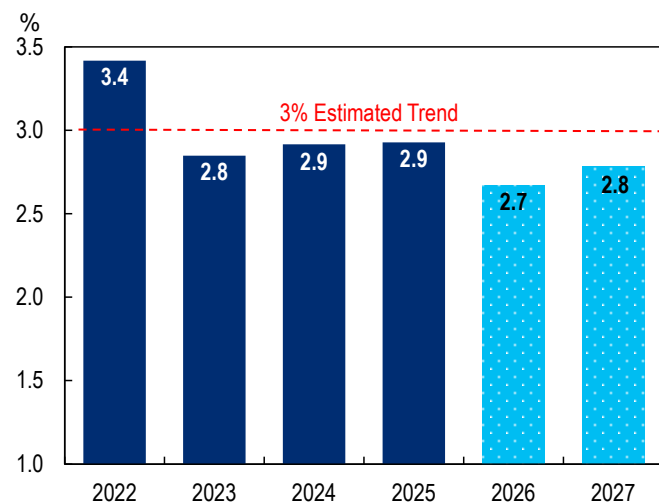
Turmoil in the Middle East— Assessing the Longer-term Implications

With the challenges in Iran continuing, the global economy faces amplified uncertainties. In the short term, a dominant question is how long will the Strait of Hormuz remain closed? Roughly 10 million barrels/day of oil are currently shut in. If sustained, this points to a sizable adverse global supply shock, which could disrupt growth and stoke inflation.

In our view, this narrative of “heightened uncertainties” should be balanced against the competing reality of “increased economic resilience.” As we have underscored in previous work, the global economy has endured a series of adverse shocks in recent years. These have included the pandemic, the Russia-Ukraine war, surging inflation, rapid central bank rate hikes, and President Trump’s evolving tariffs.

In each case, the outlook has appeared grim, and we have slashed our forecasts. Global growth, however, has shaken off the shocks and continued at a solid, near-trend pace (Figure 1). The production side of the economy, in particular, is simply more adaptable and flexible than it was a decade or two ago—and thus better able to navigate through even severe challenges.

Figure 1. Global Real GDP Growth (Annual Average)*



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*Dotted bars indicate Citi forecasts.

Source: Citi Research

Figure 2. Real GDP Growth: Citi Forecasts

	2025	2026
Developed Markets	1.8	1.6
United States	2.1	2.2
Japan	1.2	0.7
Euro Area	1.5	0.9
Germany	0.4	0.6
Spain	2.8	2.5
Emerging Markets	4.3	4.0
China	5.0	4.7
India	7.5	7.2
Mexico	0.6	1.3

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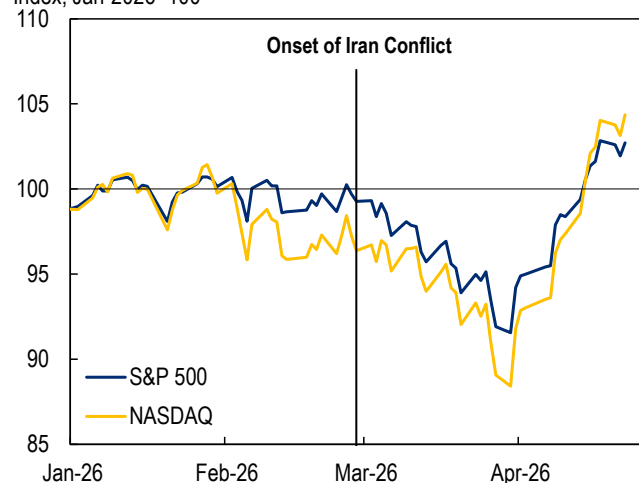
Source: Citi Research

Both of these themes—uncertainty and resilience—were on the minds of participants at last week’s IMF-World Bank meetings in Washington DC. As such, the tone of the recent meetings was less panicked and pessimistic than a year ago in the aftermath of Liberation Day. The recent meetings were hardly upbeat, but the tone was much more pragmatic.

In parallel with the Bank-Fund meetings, the S&P500 has notched record highs (Figure 3). Investors in US equity markets are clearly seeing a resilient economy. Investors also apparently judge that the broader effects of the Iran conflict will be short lived. The market’s performance arguably reflects hard lessons from last spring, when equities sold off sharply following the ‘Liberation Day’ announcements, only to bounce back thereafter (Figure 4).

Figure 3. US Equities: Recent Performance

Index, Jan-2026=100

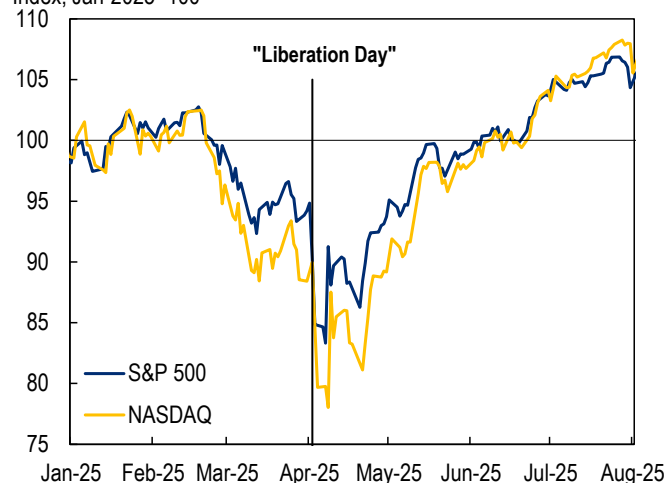


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Source: Citi Research, Bloomberg

Figure 4. US Equities: Performance Around "Liberation Day"

Index, Jan-2025=100



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Source: Citi Research, Bloomberg

By our reckoning, the recent buoyance of US equity markets, as well as the more pragmatic tone at the recent Bank-Fund meetings, reflects several important underlying factors. First, AI and other technological developments are looking increasingly robust and transformative. At the moment, the economic support is coming primarily through increased investment. But over time, the AI revolution seems poised to diffuse through the economy and raise productivity growth.

Second, there is increased familiarity—although clearly not outright comfort—with President Trump's operating style and policy reaction function. The administration's actions suggest a tolerance for increased market volatility, while aiming to avoid a full-scale recession.

Third, the resilience narrative has gained increased traction. In particular, the capacity of the global economy and financial markets to absorb last year's tariffs with minimal challenges or disruptions underscores this message. The takeaway for many investors has been to look through the current shocks.

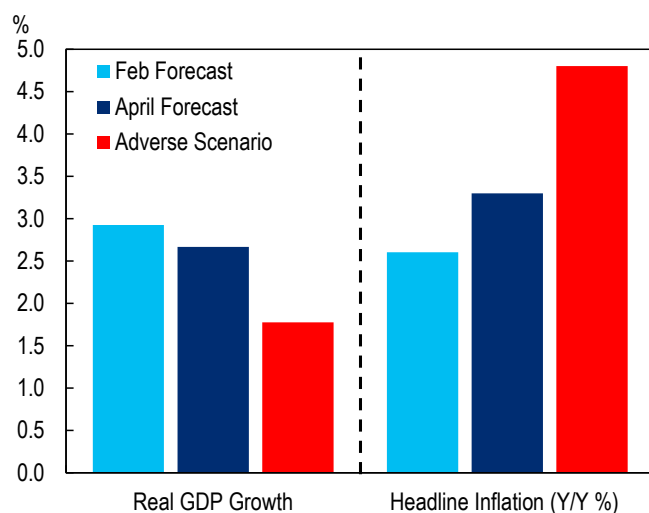
The remainder of our essay is divided into three parts. First, we provide an update on the global economic outlook. This discussion is comparatively brief because we have already outlined the key dimensions of our thinking in several recent pieces.¹ Second, we discuss some of the longer-term implications of the current episode for global energy markets. Finally, we reflect on the evolution of the global economic order more generally. We are in a period of extraordinary flux—arguably similar to the fall of the Bretton Woods system in the early 1970s—and it behooves us to step back and take stock.

¹ See: [Turmoil in the Middle East—Could Resilience Again Prevail?](#); [Turmoil in the Middle East—Two Scenarios for the Global Economy](#); [Turmoil in the Middle East—Headwinds for the Global Economy](#).

Summary of the Global Outlook

With Iran-related headwinds persisting, we have further trimmed our expectations for global growth (Figure 5). We now see the global economy expanding at a 2.7% pace this year, compared with 2.9% in February, before the onset of the conflict. As highlighted in Figure 6, the markdowns have been the largest in several Asian economies including Singapore, Vietnam, and the Philippines. Our projections for Sweden and South Africa have also been appreciably reduced. In contrast, we see India fairing comparatively well. In tandem, we have marked up our forecast for global headline inflation to 3.3% versus 2.6% before the conflict.

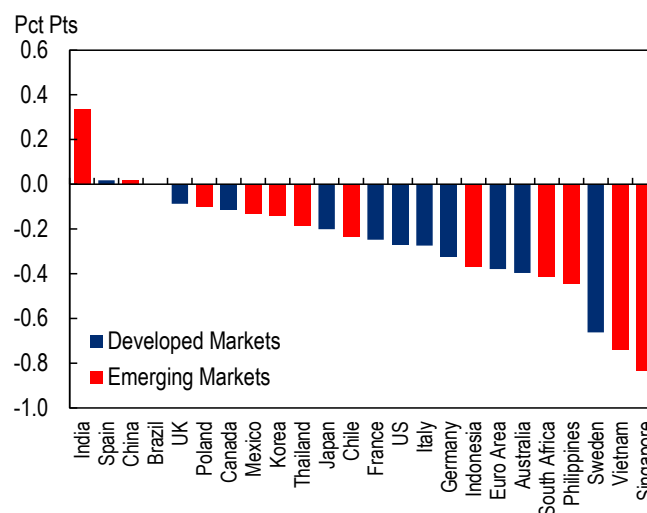
Figure 5. Global Growth & Inflation: 2026 (Citi)



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Source: Citi Research

Figure 6. 2026 Growth Forecasts: Delta Since Feb (Citi)



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Source: Citi Research

These revisions reflect three considerations. First, even in a favorable scenario in which hostilities cease and the Strait reopens, it will take time to get oil flowing at a more normal pace. As such, higher oil prices—and the accompanying headwinds—are likely to be in play at least through the current quarter. Second, as we discuss in more detail below, several million barrels a day of petroleum supply looks likely to be lost through (at least) the end of the year. As such, we see oil prices in H2 running at \$75-\$80/barrel versus expectations for \$60 oil when the year the began. The result of these factors is lower global growth and higher global inflation. Third, pressures on supply chains of key goods including fertilizers, helium, and aluminum are likely to remain in play.

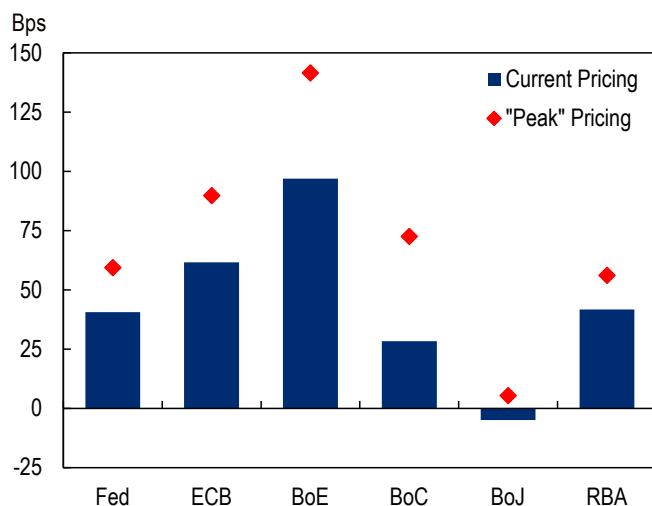
Even so, we continue to view our forecast as provisional—we are prepared to revise in either direction as events require. Like the markets, we are a notch more optimistic than a month ago. We are encouraged by President Trump's decision earlier this week to extend the ceasefire. The appetite for further conflict seems to be waning on both sides.

But adverse scenarios still cannot be ruled out. With this in mind, Figure 5 also includes an adverse scenario in which tensions again erupt, and Brent oil prices spike up to \$120/barrel and stay there through the end of the year. We estimate that this would reduce global growth by more than a percentage point, to between 1½% and 2%, and headline inflation would surge to nearly 5%. More severe effects, including the possibility of global recession or a disruptive stagflationary episode, also would be in play.

Consistent with our narrative, markets continue to see the Federal Reserve, the ECB, the Bank of England, and the RBA all pursuing tighter monetary policy paths as a result of the recent upsurge in oil prices and the accompanying inflation pressures (Figure 7). That said, these paths are notably less aggressive than a few weeks ago, when the situation looked more challenging. Only expectations for the Bank of Japan have remained stable through this period, with the markets continuing to expect a gradual normalization.

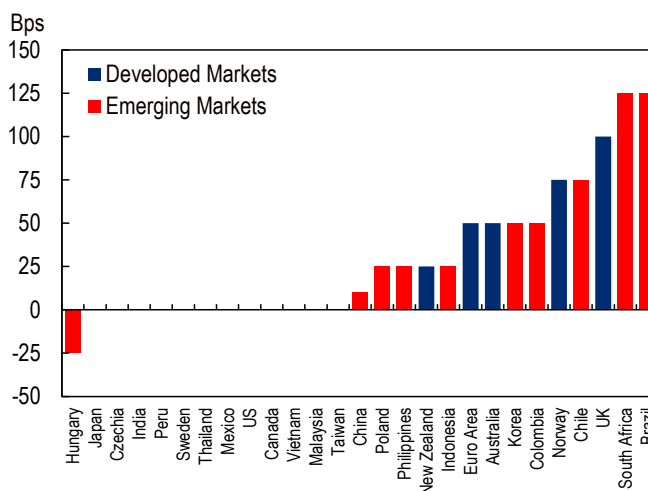
In sync with the markets, we have raised our forecasts for monetary policy in 14 of the 27 major central banks that we follow, including many in both EM and DM economies (Figure 8). Notably, we now see the ECB hiking twice this year; we have concerns about the advisability of these hikes, but they strike us as likely. In contrast, our US team continues to believe that the Fed will look through the oil shock and ultimately cut rates later this year.

Figure 7. Market Pricing for 26Y/E: Delta Since Iran Conflict



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Source: Citi Research

Figure 8. 26Y/E Policy Rate Forecasts: Delta Since Feb (Citi)



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Source: Citi Research

Longer-Lived Implications of this Episode

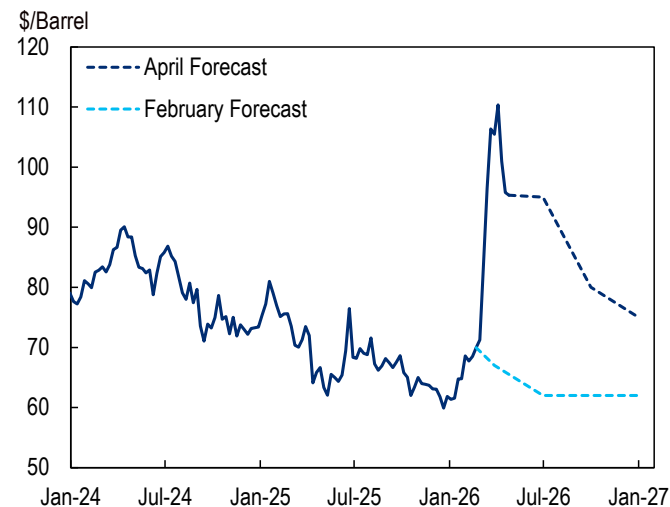
Even in a favorable scenario in which the United States and Iran quickly reach an agreement to end the conflict and reopen the Strait, this episode is likely to leave a longer-term imprint on global oil markets.

First, the path of oil prices through the second half of this year and into 2027 will be higher than it otherwise would have been. While much of the currently lost production could come back online within weeks, some of it—including production, refining, and pipeline capacity in the Middle East—has been directly hit during the conflict. Estimates suggest that several million barrels/day could be offline for a year or longer.

The upshot is likely to be a much tighter oil market during the second half of the year than we expected as the year began. Applying traditional rules of thumb, we find that such losses could push Brent prices to around \$75 to \$80/barrel, well above their \$60 pre-conflict path (Figure 9). Similarly, other factors including higher insurance costs and concerns about the safety of shipping through the Strait could also keep oil prices elevated.

Second, countries are likely to take steps to diversify their energy supply chains to avoid concentrated dependence on any single supplier or geographical chokepoint. For example, countries in Asia have been particularly reliant on flows through the Strait of Hormuz. Last year, 60% of Korea's oil and nearly 50% of Japan's was shipped through the Strait (Figure 10). While countries around the world are feeling the pain of higher oil prices, Asia is also absorbing outright shortages as anticipated shipments are not arriving.

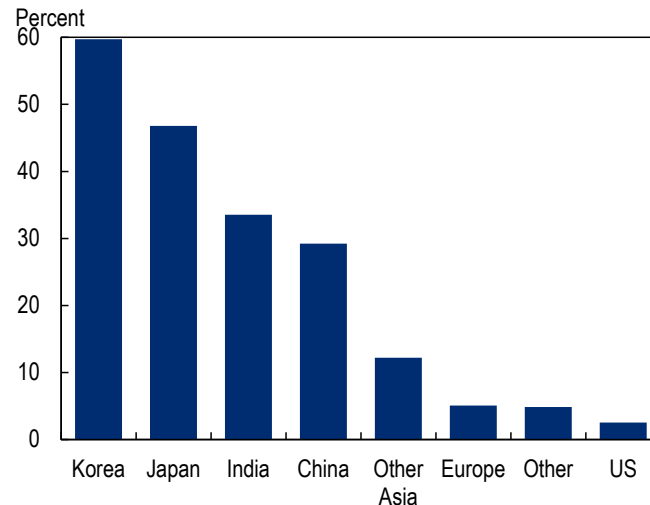
Figure 9. Brent Oil Price: February vs. April Forecast (Citi)



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Source: Citi Research, Bloomberg

Figure 10. Strait of Hormuz Oil Flows: % of Oil Consumption



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Note: Data are for 2024.

Source: Citi Research, EIA, Energy Institute, Haver Analytics

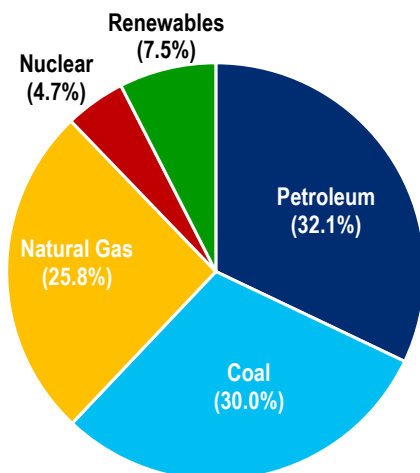
In response, consumers of oil may seek to diversify their sourcing to reduce vulnerabilities. This could include “GCC + 1” and “GCC + 2” strategies. This would mean that more oil from the Americas flows to Asia and, in tandem, more oil from the Middle East flows to Europe and the Americas. This would result in less efficient shipping patterns than at present and, hence, somewhat higher oil prices for consumers.² But the increased diversification of sourcing would spread the direct economic pain from oil shocks in any given geography more evenly across consumers.

A third legacy of this episode is increased incentives for countries to become more energy independent. Such efforts could take several forms. First, countries are likely to focus more intensively on developing their available energy reserves. This could include gas and oil reserves, but it may also mean increased production and consumption of coal (Figure 11).³ Second, both countries and firms are likely to take steps to expand their oil inventories, which should provide increased buffers to ride through temporary shocks (Figure 12). This would parallel countries' efforts after the GFC to accumulate FX reserves to “self-insure” and reduce their vulnerability to financial shocks. Third, policymakers could also focus on the demand side of the energy market, potentially including intensified emphasis on reducing usage and increasing efficiency. Fourth, this episode may increase the attractiveness of non-petroleum sources of energy including nuclear power and renewables.

² Our estimates put this cost at roughly several dollars per barrel.

³ For the United States, this could take the form of increasing its refinery capacity to better match the types of oil that the country is currently producing.

Figure 11. Global Primary Energy Production (% of Total)*

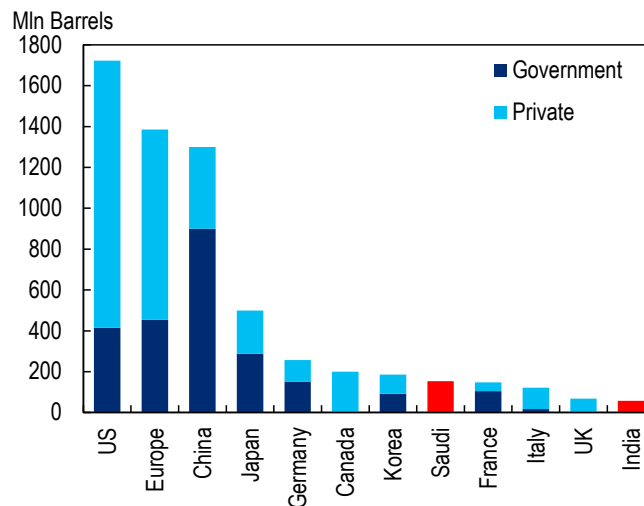


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*Data are for 2024.

Source: Citi Research, EIA

Figure 12. Oil Inventories by Country*



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*Saudi & India are closing stocks from JODI, and China is Vortexa estimate.

Source: Citi Research, EIA, JODI, Vortexa

Notably, the implications of such initiatives for climate change and environmental objectives strike us as very much an open question, with a range of outcomes potentially in play. Such considerations will be especially front and center for policymakers in Europe and some parts of Asia, where efforts to achieve a “green transition” remain an important policy priority.

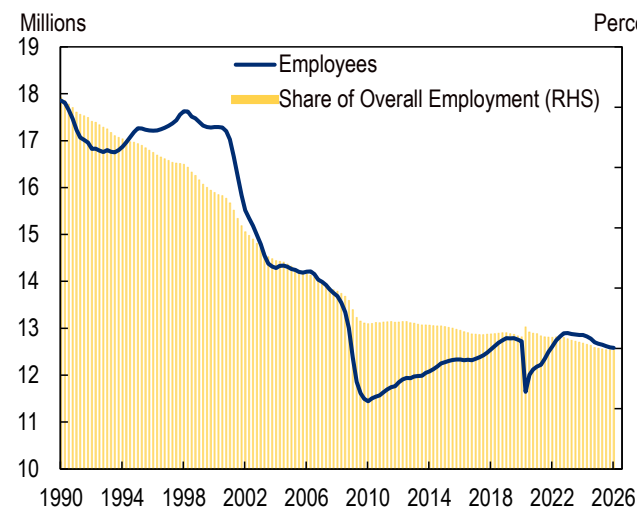
The Global Economic Order—Possible Reforms

The evolving policies of the Trump Administration have led to intensified introspection by policymakers around the world regarding the features and trajectory of the global economic order. We are clearly in a period of flux—in our view comparable to the unwinding of the Bretton Woods system in the early 1970s—and the situation requires fresh thinking and perspectives. Almost unavoidably, these issues were a major focus of the IMF-World Bank meetings last week.

The fundamental argument of the Trump Administration is that the economic order that has prevailed in recent decades requires the US to give too much, while it receives too little. As evidence the Administration points to declining US manufacturing employment, sustained US trade deficits, and the heavy defense spending by the United States compared with many of its allies (Figures 13 & 14). In other words, the cost of US global leadership has simply been too high. The Trump Administration sees itself as working to level the playing field.

While each of these points is analytically debatable, this narrative captures the general perspective of many US voters. For example, these general points are echoed by many left-wing voices as well. Previous generations of US voters would have broadly agreed that US global leadership—and US efforts to make the world safer, more prosperous, and more equitable—would ultimately redound to the benefit of the United States. But that consensus now appears to have frayed.

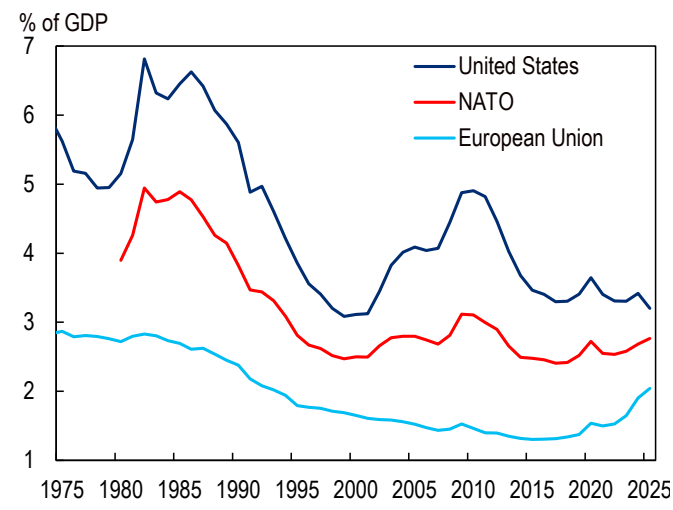
Figure 13. US Manufacturing Employment



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Source: Citi Research, BLS, Haver Analytics

Figure 14. Defense Spending (% of GDP)



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Source: Citi Research, SIPRI, NATO, IMF, Haver Analytics

Notably, implicit in this US critique is the recognition of an increasingly multi-polar world. Several generations ago, the US economy was sufficiently large that bearing the costs of global leadership were more manageable. And the world is different in other ways as well. China has emerged as a great power, and India and Brazil look to be on a similar trajectory. As such, there is a strong case for other countries—both DM and EM—to step up and shoulder increased global responsibilities. Arguably, this was manifest in last year's commitment by NATO members to raise their levels of defense spending.

But this discussion also highlights two important and admittedly thorny issues. First, in its efforts to level the playing field, the Trump Administration has taken some significant—and *unilateral*—actions. These include US tariffs imposed last year, as well as this year's attack on Iran. Both of these actions have created meaningful challenges for other countries, including long-time US allies.

The resulting question is—What should the US role in the new order look like? Even in this more multi-polar world, the United States holds a leading position given its economic, financial, cultural, and military might. Indeed, an irony is that the post-pandemic period has seen remarkable US economic and financial outperformance. Productivity growth has been favorable, and US corporates have notched significant gains.

A potential path forward involves consensual mechanisms for the United States to voice its concerns and get meaningful traction, without resorting to unilateral actions. As a corollary, even as some leading countries, especially in Europe, sharply disagree with President Trump's policies, it is important to consider the deeper substance of the US Administration's critiques. As we noted, many of these underlying concerns are broadly shared across the political spectrum in the United States.

The more difficult question, of course, is what kinds of reforms to the global architecture would address US concerns? One frequently discussed proposal is for NATO countries to meet their defense spending commitments to shoulder increased responsibility for their defense. This is an issue that US administrations have highlighted for many years.

In addition, the WTO continues to look hamstrung. After 30 years, this has led to calls for deeper restructuring. Such a process could include reexamining the requirement that decisions be made by consensus; expanding the coverage of services trade; reevaluating the use of “national security” rationales for tariffs; and addressing sustained trade imbalances. Several of these issues would need to be tackled in tandem with the IMF and the World Bank.

It is not clear how far such efforts would go in addressing the concerns of the US Administration, but we think it’s time for global policymakers to have a broader conversation. There is a growing view that the relevance of the global system that successfully served recent generations is diminishing, leading to calls for it to be reformed, redefined, and reimagined. Such changes could be complex and difficult. But they also have the potential to bring important new opportunities.

Overview of April Projections

For our forecasts, [click here](#)

Figure 15. Selected Economy GDP and CPI Inflation Forecasts

	GDP GROWTH					CPI INFLATION				
	2025	2026	2027	Differences from last GEOS		2025	2026	2027	Differences from last GEOS	
				2026	2027				2026	2027
Global	2.9	2.7	2.8			2.7	3.3	2.6	0.2	0.1
Industrial Economies	1.8	1.6	1.6	-0.1	-0.1	2.4	3.1	2.1	0.1	0.1
United States	2.1	2.2	1.8	-0.1		2.6	3.4	2.0	0.1	0.1
Canada	1.7	0.9	1.8			2.1	2.4	2.1		
Euro Area	1.5	0.9	1.4			2.1	2.9	2.2	0.1	
Germany	0.4	0.6	1.3	-0.1		2.3	2.7	2.6	-0.5	0.2
France	0.9	0.9	1.1		-0.1	0.9	2.1	1.9	0.1	-0.3
Italy	0.7	0.7	0.9	-0.1		1.6	3.1	2.3	0.5	0.2
Spain	2.8	2.5	2.1	0.1		2.7	3.3	2.6	-0.4	-0.1
United Kingdom	1.3	0.8	1.3			3.4	3.2	2.8		0.5
Japan	1.2	0.7	1.0	-0.1	-0.3	3.2	2.0	2.1	0.2	0.3
Emerging Markets	4.3	4.0	4.1	0.1		3.1	3.5	3.2	0.2	0.2
Emerging Asia	5.1	4.8	4.7			0.8	1.7	1.7	0.1	
China	5.0	4.7	4.6			0.0	0.7	0.8		
India	7.5	7.2	7.1			2.2	4.2	4.4	0.2	0.3
ASEAN-5	4.6	4.0	4.1	-0.3	-0.1	1.5	2.9	2.7	0.7	0.1
Emerging Europe	2.6	2.3	2.5			12.5	11.3	9.3	0.2	0.6
Poland	3.6	3.9	2.9			3.6	3.3	3.5	-0.2	
Turkey	3.6	2.5	2.9	-0.1		34.9	30.6	23.7	0.9	2.5
Latin America	2.2	2.0	2.3	-0.1		10.1	6.6	5.6	0.4	-0.1
Brazil	2.3	1.8	1.8			5.0	4.5	3.7	0.8	
Mexico	0.6	1.3	2.0	-0.1		3.8	4.2	3.8	0.3	-0.1
Middle East/Africa	4.0	2.7	4.7	0.2	0.2	4.8	4.2	4.1	0.5	0.3
Egypt	5.1	5.0	6.1	-0.6		14.1	14.7	8.0	3.3	0.8
Nigeria	4.3	4.6	5.2			23.3	14.7	11.6	2.0	0.5
Saudi Arabia	4.5	3.1	3.7	0.5	0.3	2.0	1.9	2.2	0.2	
South Africa	1.1	1.2	1.8			3.2	0.0	4.6		1.3

Source: National Sources, Citi Research

Figure 16. Selected Economy Policy Rate Forecasts (%)

	Current	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
United States	3.75	3.75	3.75	3.50	3.00	3.00	3.00	3.00	3.00
Japan	0.75	0.75	0.75	1.00	1.00	1.25	1.25	1.50	1.50
Euro Area	2.00	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
Canada	2.25	2.25	2.25	1.75	1.75	1.75	1.75	2.00	2.25
Australia	4.10	4.10	4.60	4.60	4.60	4.35	4.10	3.85	3.85
United Kingdom	3.75	3.75	3.75	3.75	3.75	3.50	3.25	3.25	3.25

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Euro Area is Deposit Rate

Source: Citi Research, Bloomberg

Figure 17. Selected Economy Forecasts

		Central Bank Policy Rate (%)			Current Account % GDP			Fiscal Balance % GDP			Gov debt % GDP		
		2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027
Global		3.81	3.61	3.35	0.4	0.4	0.4	-4.4	-4.7	-4.6	96.4	96.4	97.5
	Industrial Economies	2.86	2.66	2.66	-1.0	-1.0	-0.8	-4.6	-5.1	-5.2	115.0	114.9	116.6
	United States	3.75	3.00	3.00	-3.6	-3.3	-3.2	-6.8	-7.2	-7.3	123.3	123.6	126.2
	Canada	2.56	2.00	1.94	-1.0	-1.3	-2.1	-2.4	-2.1	-2.0	100.8	101.4	101.8
	Euro Area	2.00	2.50	2.50	1.9	1.4	1.2	-2.8	-3.5	-3.8	87.6	88.8	89.7
	Germany	-	-	-	4.5	3.9	3.6	-2.4	-3.9	-4.1	63.3	65.5	67.2
	France	-	-	-	-0.5	-0.3	-0.3	-5.1	-5.1	-5.0	115.9	118.2	119.9
	Italy	-	-	-	1.1	0.4	0.9	-3.1	-2.9	-2.9	137.4	138.1	137.9
	Spain	-	-	-	3.0	2.5	2.0	-2.4	-2.2	-2.5	100.7	96.9	95.2
	United Kingdom	3.75	3.75	3.25	-	-	-	-7.4	-3.7	-3.1	94.3	93.2	93.2
	Japan	0.75	1.00	1.50	4.6	4.7	4.7	-1.3	-2.2	-2.7	229.6	226.8	224.5
	Emerging Markets	4.95	4.71	4.13	2.1	1.9	1.7	-4.3	-4.2	-4.0	74.1	75.0	75.7
	Emerging Asia	2.41	2.35	2.32	3.5	3.3	3.1	-4.0	-4.0	-3.8	91.9	92.7	93.1
	China	1.40	1.30	1.20	3.2	3.0	2.8	-4.0	-4.0	-3.8	107.2	108.2	109.2
	India	5.25	5.25	5.25	-0.4	-1.4	-0.6	-7.6	-7.2	-7.1	85.0	84.1	83.1
	ASEAN-5	3.27	3.23	3.30	3.2	2.6	2.7	-2.8	-3.1	-2.8	73.8	74.1	74.4
	Emerging Europe	12.32	11.67	9.28	-0.8	-1.5	-1.4	-3.9	-4.0	-3.5	35.2	36.4	37.3
	Poland	4.00	3.75	3.75	-0.9	-1.6	-1.9	-7.3	-6.7	-6.4	49.1	52.3	55.9
	Turkey	38.00	34.50	26.50	-1.9	-3.2	-3.3	-2.9	-4.1	-4.3	23.8	24.0	24.5
	Latin America	8.79	8.34	7.57	-1.7	-1.9	-1.9	-5.3	-5.2	-4.7	64.2	65.7	67.1
	Brazil	15.00	13.30	11.30	-3.0	-3.0	-3.0	-8.3	-8.5	-8.0	78.6	83.2	87.4
	Mexico	7.00	6.50	6.50	-0.4	-1.0	-1.0	-4.9	-4.4	-3.7	53.2	54.8	55.2
	Middle East/Africa	5.87	5.41	4.13	2.0	1.8	1.1	-4.6	-4.3	-4.0	22.3	21.6	22.2
	Egypt	20.00	19.00	11.00	-2.9	-3.1	-3.2	-6.1	-5.5	-4.6	51.8	46.9	44.3
	Nigeria	27.00	20.00	13.00	4.7	4.0	2.4	-2.9	-2.9	-2.8	27.2	23.1	22.9
	Saudi Arabia	-	-	-	-2.6	-1.1	-3.8	-5.8	-4.4	-4.6	-	-	-
	South Africa	6.75	7.25	7.00	-	-0.8	-0.8	-4.5	-4.5	-4.4	74.9	76.9	80.4

Source: National Sources, Citi Research

Figure 18. Selected Economy 10-year yields (%)

	Current	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
United States	4.30	4.32	4.12	3.94	3.75	3.75	3.75	3.75	3.75
Japan	2.39	2.18	2.45	2.60	2.65	2.65	2.60	2.50	2.50
Euro Area (bunds)	3.01	2.86	3.05	3.00	3.00	3.00	3.00	3.10	3.10
Canada	3.48	3.23	3.23	3.23	3.23	3.23	3.23	3.23	3.23
United Kingdom	4.91	4.54	4.75	4.60	4.50	4.45	4.25	4.35	4.35

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Source: Citi Research, Bloomberg

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The Fed has left policy rates unchanged at recent meetings as the current level of policy rates allows officials to wait and see how the situation in the Middle East and data evolve. The surge in oil prices raises upside risks to core inflation and downside risk to growth. In our base case, oil prices fall in coming months and there is limited passthrough to core inflation. This combined with further weakening in the labor market could push the Fed to cut policy rates to 2.75-3.0% by the end of the year. GDP growth slowed in Q4 in part due to the drag from the government shutdown that will likely rebound in Q1 2026. Real consumption growth has been slower in recent quarters. We continue to expect solid growth in 2026, although with some further slowing in consumption and downside risk due to the surge in energy prices. The rise in energy prices, if sustained for many months, could weigh on GDP by a few tenths of a percentage point this year.

Core PCE inflation has been sticky around 3.0%YoY while core CPI has slowed a bit more to 2.5-2.6%. Headline inflation will likely continue to be strong in the near term as energy prices have remained elevated. We do not expect much passthrough of higher energy prices to core inflation, but with upside risks to our forecasts for components like goods prices. The Fed and markets remain focused on medium- and longer-term inflation expectations that have stayed anchored. We expect more benign monthly core inflation readings in the summer and fall.

Monthly payroll job growth has been very volatile month-to-month but has been modest on a 6m moving average. The unemployment rate has increased gradually over the last couple of years but has stayed within a narrow range around 4.2-4.4% in the last several months. We expect labor demand to be softer than labor supply, which would put further upward pressure on the unemployment rate by the summer. The labor market continues to be defined by a low hiring rate but also low layoff rate.

Figure 19. United States — Economic Forecasts

		2025F	2026F	2027F	2025		2026				2027			
					Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	SAAR				4.4	0.5	2.5	2.1	1.7	1.8	1.8	1.8	1.8	1.8
	YoY	2.1	2.2	1.8	2.3	2.0	2.8	2.4	1.7	2.0	1.9	1.8	1.8	1.8
Domestic Demand	SAAR				2.8	0.6	3.2	2.1	1.7	1.9	1.9	1.9	1.9	1.9
	YoY	2.4	2.1	1.9	2.3	1.8	2.2	2.2	1.9	2.2	1.9	1.8	1.9	1.9
Consumption	SAAR				3.5	1.9	1.2	2.6	1.7	1.9	2.1	2.1	2.1	2.1
	YoY	2.6	2.1	2.1	2.6	2.1	2.3	2.3	1.9	1.9	2.1	2.0	2.1	2.1
Business Investment	SAAR				3.2	2.4	10.3	1.9	2.7	2.7	1.9	1.9	1.9	1.9
	YoY	4.1	4.7	2.2	4.0	5.6	5.7	4.4	4.3	4.3	2.3	2.3	2.1	1.9
Housing Investment	SAAR				-7.1	-1.7	0.0	2.0	2.0	3.0	3.0	3.0	3.0	3.0
	YoY	-2.2	-0.8	2.8	-2.3	-3.8	-3.5	-1.8	0.6	1.7	2.5	2.7	3.0	3.0
Government	SAAR				2.2	-5.6	5.6	0.7	0.7	0.7	0.7	0.7	0.7	0.7
	YoY	1.1	0.8	0.7	1.1	-1.2	0.4	0.6	0.3	1.9	0.7	0.7	0.7	0.7
Exports	SAAR				9.6	-3.2	13.2	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	YoY	1.6	4.7	3.0	1.7	1.1	4.2	5.5	3.8	5.5	3.0	3.0	3.0	3.0
Imports	SAAR				-4.4	-1.0	20.3	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	YoY	2.7	2.8	3.0	-1.7	-1.9	-5.2	4.1	6.0	7.1	3.0	3.0	3.0	3.0
PCE Deflator	YoY	2.6	3.4	2.0	2.7	2.8	3.0	3.7	3.5	3.2	2.6	1.8	1.8	1.9
Core PCE Deflator	YoY	2.8	3.0	2.2	2.9	2.9	3.1	3.2	3.1	2.9	2.4	2.1	2.0	2.1
Unemployment Rate	%	4.3	4.6	4.3	4.3	4.5	4.3	4.6	4.7	4.6	4.5	4.3	4.2	4.2
Policy Rate Upper Bound EoP	%	3.75	3	3	4.25	3.75	3.75	3.75	3.5	3	3	3	3	3
Federal Gov't Balance (Fiscal Year)	US\$bn	-1775	-2000	-2100										
	% of GDP	-5.8	-6.2	-6.3										

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Source: Citi Research, Bureau of Economic Analysis, Bureau of Labor Statistics, Department of Treasury

Canada

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GDP growth contracted in Q4 2025 but with a stronger increase in domestic demand. Consumption is likely to grow in Q1 but headwinds such as slower population growth, weakening labor market and higher gasoline prices should weigh on consumers this year. The spike in energy prices could provide some boost to growth through larger exports of oil but on net we still expect slow growth this year.

Employment growth was modest in March after a couple months of declines. In general, employment growth has been volatile but likely around a broadly declining trend. The unemployment rate has stayed within a range around 6.5-7%. Wage growth was very strong in March but likely impacted by some compositional and base effects issues. We expect the unemployment rate to remain elevated in 2026 as labor demand continues to weaken despite slower population growth putting downward pressure on the unemployment rate.

The 3-month annualized run rate of the core inflation measures has slowed to below 2%. Higher energy prices boosted headline inflation in March to 2.4%YoY but core measures remained soft. Data like a jump in CFIB price plans keeps us cautious on some near-term risks of stickier core inflation in Q2, similar to last year. But also like last year, we expect softer demand to ultimately keep core inflation subdued and for the BoC to be cutting rates again later in the year. Home prices and forward-looking indicators for home prices have generally been soft.

The Bank of Canada has kept policy rates unchanged in recent meetings at 2.25%, the lower end of neutral. We expect the Bank of Canada will continue cutting policy rates this year to a terminal rate of 1.75% as activity, labor market and core inflation data remain soft despite a period of higher oil prices. Rate hikes seem unlikely to us in an environment where home prices are falling, and core inflation remains within the target range.

Figure 20. Canada - Economic Forecast, 2024-2026F

Metric		Annual			2025	2026					2027			
		2025	2026	2027	4QF	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF	
Real GDP	YoY	1.7	0.9	1.7	0.7	0.4	1.0	0.8	1.5	1.7	1.8	1.8	1.7	
	SAAR				-0.6	0.9	1.3	1.5	2.3	1.7	1.7	1.7	1.7	
Final Domestic Demand	YoY	2.1	2.2	1.9	1.4	2.4	1.8	2.3	2.4	1.8	1.9	1.9	1.8	
	SAAR				2.4	3.9	1.5	1.6	2.4	1.8	1.8	1.8	1.8	
Private Consumption	YoY	2.3	1.5	1.4	1.7	2.0	1.1	1.5	1.5	1.2	1.4	1.5	1.5	
	SAAR				1.7	2.5	0.8	1.0	1.5	1.5	1.5	1.5	1.5	
Government Spending	YoY	3.0	3.5	2.1	2.9	3.7	3.2	3.9	3.3	2.6	2.2	1.9	1.5	
	SAAR				5.7	4.1	3.0	3.0	3.0	1.5	1.5	1.5	1.5	
Private Fixed Investment	YoY	0.3	2.4	3.2	-1.6	1.4	1.9	2.5	3.7	2.7	3.2	3.6	3.3	
	SAAR				-0.2	7.2	1.4	1.7	4.5	3.2	3.3	3.3	3.3	
Exports	YoY	-1.7	-1.5	2.7	-3.3	-6.5	0.7	0.5	-0.4	2.7	2.7	2.7	2.7	
	SAAR				6.1	-9.0	2.7	2.7	2.7	2.7	2.7	2.7	2.7	
Imports	YoY	-0.4	3.4	3.0	-1.6	0.9	1.6	5.4	5.9	3.0	3.0	3.0	3.0	
	SAAR				1.0	15.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	
Consumer Price Index	YoY	2.1	2.4	2.0	2.2	2.2	2.8	2.5	2.2	2.1	1.7	2.0	2.1	
Unemployment Rate	%	6.9	6.6	5.7	6.8	6.6	6.8	6.7	6.3	6.0	5.8	5.5	5.5	
Net Exports Contribution		-0.4	-1.5	-0.2	1.4	-7.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	
Inventories Contribution		0.0	0.3	0.0	-4.2	4.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	

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ECB likely to hike twice this year in our new baseline scenario – ECB

communication since the March meeting suggests that bar to hike is quite low. The working assumptions seem to be non-linear second-round effects of the oil shock and more fragile inflation expectations and pricing behaviour due to the recent memory of the 2022 inflation shock. Therefore, a prolonged disruption to oil supply constitutes a sufficient condition to warrant a policy response, even without evidence of transmission to other prices. We expect two 25bp hikes in the summer (June and July most probable timing). Any signs of demand weakness and limited passthrough will likely limit stop the hiking in 2H26, but upcoming fiscal spending and private investment will probably make subsequent rate cuts unlikely. We foresee the policy rate staying at 2.50% for the remainder of the forecasting horizon.

Inflation heading above 3% but falling back close to 2% in 2027 – We lifted our inflation forecasts last month on higher oil prices and we broadly maintain our view unaltered this month, with headline HICP averaging 2.8% this year and easing to 2.2% in 2027 and 2.0% in 2028. We see [second-round effects into core inflation as far less likely than in 2022](#).

Growth may be more vulnerable than in 2022. The negative terms of trade shock – amounting to ca. 1pp of Eurozone GDP on our estimates, if energy prices persist at current levels for one year – alongside higher policy rates would likely hold back growth. Smaller liquidity buffers, less pent-up demand and a softer labour market make growth more vulnerable now than four years ago. Beyond 2026, though, we still expect growth to be driven by domestic demand, in particular investment (in green technologies, digitalisation, AI and defence).

Fiscal policy may step in again. We think interventions will primarily focus on lowering taxes on transport fuels, but measures on utility bills or income support might follow, with the fiscal cost likely a non-linear function of the price shock's intensity. We assume mitigation costs worth about 0.5% of GDP for now.

Figure 21. Euro Area -- Economic Forecasts

					2025	2026				2027			
		2025F	2026F	2027F	Q4	Q1F	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F
Real GDP	YoY	1.5	0.9	1.4	1.2	0.9	0.8	0.8	1.0	1.2	1.5	1.5	1.4
	SAAR	-	-	-	0.8	0.9	0.5	1.2	1.5	1.4	1.7	1.3	1.3
Final Domestic Demand	YoY	1.9	1.4	1.7	1.7	1.3	1.6	1.4	1.3	1.5	1.7	1.9	1.9
Private Consumption	YoY	1.5	1.0	0.9	1.3	1.3	1.0	0.9	0.7	0.7	0.9	1.0	1.0
Government Consumption	YoY	1.6	1.5	1.3	1.4	1.8	1.7	1.4	1.2	1.3	1.3	1.3	1.2
Fixed Investment	YoY	3.1	2.3	4.2	3.1	0.7	3.0	2.4	2.7	3.6	4.1	4.6	4.6
— Business Equipment	YoY	4.4	2.2	5.1	3.3	-0.7	3.7	2.3	3.2	4.6	5.1	5.6	5.5
— Construction	YoY	1.7	2.3	3.1	2.9	2.3	2.3	2.6	2.2	2.4	3.0	3.7	3.5
Stocks (Contrib to YY GDP Growth)	pp	0.3	0.2	-0.5	0.1	0.6	0.1	-0.1	0.0	0.6	0.1	-0.1	0.0
Exports	YoY	2.2	0.4	1.8	2.4	0.1	0.5	-0.1	0.8	1.2	1.7	2.0	2.1
Imports	YoY	3.7	1.7	1.4	3.9	2.3	2.3	0.7	1.3	1.1	1.5	1.6	1.6
HICP	YoY	2.1	2.8	2.2	2.1	2.0	3.2	3.1	3.3	3.0	2.1	2.0	1.9
CPI Ex Energy and Food	YoY	2.4	2.1	1.9	2.4	2.3	2.3	2.2	2.3	2.3	2.0	2.0	1.9
Unemployment Rate	YoY	6.3	6.3	6.0	6.3	6.2	6.3	6.2	6.2	6.1	6.0	5.9	5.8
Current Account Balance	EUR bn	302.7	224.5	207.3									
	% of GDP	1.9	1.4	1.2									
General Government Balance	EUR bn	-442.8	-585.3	-662.1									
	% of GDP	-2.8	-3.6	-3.9									
Government Primary Balance	% of GDP	-0.8	-1.4	-1.6									
General Government Debt	EUR bn	13,945											
		.1	14,530.4	15,192.5									
	% of GDP	87.6	88.8	89.7									

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Source: Citi Research, Eurostat

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Germany has significant exposures to energy prices: utility and transport fuel bills are already high by European standards and pose competitiveness issues for the country's manufacturing base; that the latter produces internal combustion engine cars reinforces this vulnerability. As expected, the government has reacted with temporary excise tax cuts and other measures, as well as 'industrial electricity price' programme (to run through 2028) to help with competitiveness problems.

France

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France arguably has fewer vulnerabilities than Germany but limited fiscal space to absorb shocks of any kind. With nuclear produced electricity often sold at significant mark-up at market prices, a discussion about energy pricing, which reflects the marginal production cost rather than the average one, has gained traction. With Presidential elections approaching, a promise to withdraw from the European electricity market could be politically appealing but would likely create significant friction with the EU Commission.

Italy

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We shaved 0.2pp off 2026 growth and added 1.2pp to inflation on the back of the energy shock last month and we stick to that view. Italy may have a large exposure to energy supply shock, but fiscal support has already been announced to cushion the impact. And NGEU spending should also help domestic investment (both public and private). We expect the government's [fiscal conservatism](#) to continue and demand for BTPs to resume, with [potential for further credit rating upgrades](#) once this risk-off episode fades.

Spain

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Thanks to a bigger reliance on renewable energy and LNG, Spain should be able to weather the energy shock better than others. We shaved only 0.1pp off 2026 growth, despite higher inflation (3.3%). The government has committed to a 0.3pp of GDP fiscal stimulus to offset the inflation impact. NGEU spending, large immigration inflows and falling structural unemployment are all tailwinds, but a real estate recovery could be slowed down now by higher rates.

Figure 22. Germany, France, Italy and Spain - Economics Forecasts

		Germany			France			Italy			Spain		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	0.4	0.6	1.3	0.9	0.9	1.1	0.7	0.7	0.9	2.8	2.5	2.1
Final Domestic Demand	YoY	1.3	1.1	1.5	1.5	0.8	1.1	1.6	1.4	1.2	3.7	3.5	2.4
Private Consumption	YoY	1.7	0.9	0.9	0.4	0.5	0.5	1.1	0.6	0.5	3.4	2.7	2.0
Government Consumption	YoY	1.3	1.9	1.8	1.7	1.2	1.1	0.6	0.8	0.9	2.4	1.9	0.8
Fixed Investment	YoY	0.0	0.8	2.7	0.8	0.8	1.9	3.8	3.8	3.3	5.8	7.3	4.8
Exports	YoY	-0.3	-0.1	1.4	1.4	2.9	1.9	1.4	0.3	2.1	3.6	1.6	2.5
Imports	YoY	3.7	1.6	2.2	3.0	2.2	2.1	3.9	3.0	1.8	6.2	4.1	3.3
HICP	YoY	2.3	2.7	2.6	0.9	2.1	1.9	1.6	3.1	2.3	2.7	3.3	2.6
Unemployment Rate	YoY	3.8	4.0	3.9	7.5	7.8	7.9	6.1	5.4	5.2	10.5	9.6	8.9
Current Account Balance	EUR bn	197.2	179.2	172.2	-14.8	-10.0	-10.6	25.0	9.0	21.0	51.2	44.7	38.0
	% of GDP	4.5	3.9	3.6	-0.5	-0.3	-0.3	1.1	0.4	0.9	3.0	2.5	2.0
General Government Balance	EUR bn	-107.6	-176.2	-194.7	-151.6	-154.9	-157.3	-70.1	-66.7	-69.2	-40.3	-39.1	-46.6
	% of GDP	-2.4	-3.9	-4.1	-5.1	-5.1	-5.0	-3.1	-2.9	-2.9	-2.4	-2.2	-2.5
Government Primary Balance	% of GDP	-1.3	-2.6	-2.8	-2.9	-2.7	-2.5	0.7	1.1	1.2	0.0	0.2	0.0
General Government Debt	EUR bn	2,801.4	2,977.6	3,172.4	3456.8	3611.7	3769.0	3095.5	3200.5	3290.5	1698.2	1737.4	1784.0
	% of GDP	63.3	65.5	67.2	115.9	118.2	119.9	137.4	138.1	137.9	100.7	96.9	95.2

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Data in the UK continues to be somewhat resilient but the trajectory points to weaker growth and higher inflation. [GDP growth is robust](#) at a headline level but the composition leaves us cautious about over-interpreting the strength, particularly as manufacturing growth already looks weak going into the energy shock. Official data for March is not yet available.

We expect to see a significant jump in non-core inflation in March which will likely keep CPI between 3.0-3.3% through the remainder of the year. As of yet, there is little suggestion that second-round effects will be as severe as they were in 2022/23 with initial wage projections not reacting and leading indicators for food still relatively calm. That said, we expect the BoE to remain cautious, particularly given the [volatility in inflation expectations](#).

We continue to [see the BoE on hold](#) through the rest of 2026. The cyclical position of the UK, with labour market slack still building and GDP running below potential, in combination with a still restrictive policy rate already appears to be weighing on prices. That said, [fiscal risk](#) continues to demand a premium in gilts that we expect to last through the summer.

Figure 23. UK -- Economic Forecasts

					2025	2026				2027			
		2025F	2026F	2027F	Q4	Q1F	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F
Real GDP	YoY	1.3	0.8	1.3	1.0	0.5	0.6	0.9	1.1	1.2	1.3	1.4	1.5
	SAAR	-	-	-	0.2	0.8	1.3	1.1	1.1	1.3	1.5	1.7	1.7
Domestic Demand (inc. inventories)	YoY	2.0	1.5	1.6	1.6	1.3	1.5	1.7	1.6	1.5	1.6	1.6	1.7
Private Consumption	YoY	1.0	0.9	1.2	0.9	0.8	1.0	0.7	0.9	1.0	1.2	1.3	1.4
Government Consumption	YoY	1.7	1.4	1.2	1.6	2.0	1.3	1.3	1.2	1.2	1.2	1.2	1.2
Investment	YoY	3.4	1.7	2.9	3.6	0.6	2.1	1.7	2.5	2.8	2.9	2.9	2.9
Exports	YoY	1.6	0.5	2.1	-0.5	-0.4	0.3	0.5	1.5	1.7	1.9	2.3	2.6
Imports	YoY	4.2	2.2	2.8	2.3	1.6	2.4	2.5	2.4	2.6	2.8	2.9	2.9
Unemployment Rate	YoY	4.7	5.3	5.2	5.0	5.2	5.3	5.4	5.4	5.3	5.2	5.1	5.0
CPI	YoY	3.4	3.2	2.8	3.4	3.1	3.0	3.3	3.3	3.3	2.8	2.5	2.7
Current Account	£bn	-70.6	-65.9	-70.1									
	% of GDP	-	-	-									
PSNB	£bn FY	-225.6	-115.8	-102.3									
	% of GDP	-7.4	-3.7	-3.1									
General Govt Balance	% of GDP	-7.4	-3.7	-3.1									
Government Primary Balance	% of GDP	-2.4	-1.4	-0.8									
Public Debt	% of GDP	94.3	93.2	93.2									
Gross Nonoil Trading Profits	YoY	-	-	-									

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Source: Citi Research, ONS

Scandi and Swiss

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Sweden should be less impacted by the energy price shock than other European countries and fiscal support can be ramped up soon if needed. The recovery was stronger than expected in 2025, and the labour market has started to improve. We revise down 2026 growth somewhat, now closer to 2.0%, as 1Q looks softer, the external backdrop has worsened, and private consumption will likely be pressured by higher energy prices. Sweden should benefit from AI-related, green and defense investment possibly more than other European countries. We expect the Riksbank to keep rates at the cyclical low of 1.75% until end-2027, thanks to inflation remaining close to target even if energy prices stay elevated.

Norway

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Growth remains at best in line with potential for now (0.3-0.4% QQ) and the inflationary impact of higher oil prices should be more limited in Norway than elsewhere. Yet, given the clearly hawkish reaction function displayed at the last meeting, we updated our base case scenario for the Norges Bank (of unchanged rates in 2026) and [now envisage a rate hike in May](#) with the possibility of another one in the summer, if oil prices were to remain elevated.

Figure 24. Sweden, Norway and Switzerland -- Economic Forecasts

		Sweden			Norway		
		2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	1.8	1.8	2.2	1.8	1.5	2.0
Final Domestic Demand	YoY	1.6	2.6	1.9	1.9	2.4	1.7
Private Consumption	YoY	1.7	2.0	1.7	2.8	1.9	1.5
Government Consumption	YoY	1.1	2.6	2.7	1.5	1.7	2.0
Investment (ex-stocks)	YoY	2.0	3.9	3.3	0.2	4.3	3.5
Exports	YoY	4.4	2.4	2.4	3.6	2.7	1.9
Imports	YoY	4.6	2.3	3.1	3.6	2.4	1.8
CPI	YoY	2.6	1.6	1.8	3.1	3.4	2.3
Unemployment Rate	YoY	9.0	8.1	7.7	4.5	4.2	4.0
Current Account Balance	% of GDP	6.5	6.5	5.6	1.2	14.4	27.8
General Government Balance	% of GDP	-1.4	-2.5	-1.5	11.1	9.8	7.8
General Government Debt	% of GDP	32.8	34.2	34.7	-	-	-

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Source: Citi Research, National Statistical Offices

Japan

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In response to the persistently high oil prices following the Middle East conflict, we have again lowered our 2026 growth forecast to 0.7% from 0.8% last month, while raising our core CPI forecast to 2.1% from 1.9%. Although not incorporated into our current outlook, if high oil prices persist, the government is likely to reintroduce electricity and gas subsidies in the summer, which would somewhat cushion the negative impact of elevated oil prices. For the past few months, CPI has trended below 2%, supported by slowing food inflation and government price-containment measures. Meanwhile, this year's "Shunto" spring wage negotiation results are likely to be strong, on par with the robust outcomes of the previous two years. As a result, real wages have finally entered positive territory, in line with our forecast. However, if high oil prices persist, there is a risk that real wages could slip back into negative territory, weighing on consumption in the second half of the year.

Faced with two-sided risks of rising inflation and downward pressure on growth from higher oil prices, the BoJ likely finds itself in a difficult position. Nonetheless, we are maintaining our previous outlook and expect the BoJ to keep rates on hold at its April meeting while it monitors the impact of the Middle East conflict. While the OIS market had at one point priced in a probability of over 70% for a rate hike at the April meeting, this pricing has fallen sharply following two separate appearances by BoJ Governor Ueda over the past week, neither of which offered a clear signal for an imminent hike. That said, given the BoJ's vigilance over further yen depreciation, it is unlikely to abandon its hawkish stance of continuing to raise rates toward the neutral rate. Even if the April meeting results in a hold, the BoJ is likely to resume rate hikes once the situation in the Middle East has calmed to some degree. We therefore maintain a July rate hike as our base case scenario.

Figure 25. Japan – Economics Forecasts

					2025	2026					2027			
		2025F	2026F	2027F	4Q	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF	
GDP	YoY	1.2	0.7	1.0	0.5	0.6	0.2	1.1	1.0	0.9	1.0	1.0	1.1	
	SAAR				1.3	1.4	0.7	0.9	0.9	1.0	1.0	1.1	1.1	
Domestic Demand	YoY	1.5	1.0	1.0	1.3	0.9	0.6	1.3	1.2	0.9	1.0	1.0	1.1	
	SAAR				1.3	1.9	0.8	1.1	0.9	0.9	1.0	1.2	1.1	
Private Consumption	YoY	1.5	1.1	0.9	1.8	1.2	1.2	1	0.9	0.9	0.9	0.9	0.9	
	SAAR				1.1	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	
Business Investment	YoY	1.9	2.1	2.0	3.0	2.7	1.9	2.4	1.5	1.8	2.0	2.1	2.3	
	SAAR				5.4	0.9	1.4	1.8	1.8	2.0	2.2	2.4	2.4	
Housing Investment	YoY	-2.5	-1.9	-0.5	-4.1	-4.6	-4.9	3.5	-1.5	-1.0	-0.7	-0.3	0.0	
Public Investment	YoY	-0.4	-0.2	1.0	-1.7	-1.3	-1.5	0.8	1.3	1.0	1.0	1.0	1.0	
Exports	YoY	2.9	0.1	1.2	-0.1	0.4	-1.3	0.3	0.9	1.0	1.1	1.3	1.4	
	SAAR				-1.4	1.1	0.8	0.8	0.8	1.4	1.4	1.4	1.4	
Imports	YoY	4.0	0.7	1.4	3.5	1.2	0.0	0.4	1.1	1.2	1.4	1.5	1.6	
	SAAR				-1.3	1.1	0.8	1.2	1.2	1.6	1.6	1.6	1.6	
CPI	YoY	3.2	2.0	2.1	2.7	1.4	1.9	2.3	2.3	2.6	2.1	1.8	1.7	
Core CPI	YoY	3.1	2.1	2.1	2.8	1.7	2.0	2.3	2.3	2.7	2.1	1.8	1.7	
Nominal GDP	YoY	4.7	2.5	2.5	3.9	3.5	1.8	2.5	2.2	2.5	2.6	2.5	2.3	
Current Account	¥ tn	30.7	32.3	33	29.9	30.5	31.0	34.4	33.3	31.2	31.6	35.1	34	
	% of GDP	4.6	4.8	4.7	4.4	4.5	4.6	5.0	4.9	4.5	4.5	5.0	4.8	
Unemployment Rate	%	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	
Industrial Production	YoY	1.4	2.1	2.6	1.6	1.8	2	2.2	2.3	2.3	2.5	2.7	2.8	
Corporate Profits (Fiscal Year)	YoY	5.2	12.1	9.4	-	-	-	-	-	-	-	-	-	
General Gov't Balance (Fiscal Year)	% of GDP	-1.3	-2.2	-2.7	-	-	-	-	-	-	-	-	-	
General Gov't Debt	% of GDP	230	227	224	-	-	-	-	-	-	-	-	-	

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Note: Corporate profits are TSE-I consolidated recurring profits.

Source: Citi Research, CEIC Data Company Limited, Haver Analytics

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Australia

We expect the oil price shock to reduce Australia's GDP growth from 2.5% to 2.0% this year. The majority of the drag looks likely to occur in Q2. We shave 0.6pp from household spending growth this year, as households use more of their balance sheet to pay for higher liquid fuels and essential items and cut back on discretionary spending. We also have a 1.3pp reduction in building and structure investment from higher building materials prices and a 0.8pp drag to equipment, plant and machinery investment as some firms press pause on capital spending. Slower activity will weigh on employment growth. Our year-end unemployment rate forecast moves up from 4.6% to 4.8%, i.e., marginally above the RBA's 4.6% estimate of NAIRU. We see quarterly headline inflation peaking at 5.5% in Q2-26, decelerating to 4.4% by year-end 2026. Our trimmed-mean inflation is adjusted higher, and it is not expected to fall back into the target band until mid-2027. Coming into the crisis, the RBA was already dealing with a home-grown inflation problem. Monetary policy will likely take into account the additional inflationary impulse. We expect two 25bp hikes across May and June for a terminal policy rate of 4.60%.

New Zealand

As a net energy importer, the oil price shock will exert a terms of trade decline that will lower national income and economic growth. The end result is that we forecast year average GDP growth of 1.2% this year, down from 1.8% previously. We expect the slowdown to be concentrated in Q2 with some drag in Q3. The labour market response to even slower growth will likely be to push the unemployment rate higher. We expect the 2026 year-end unemployment rate to be 5.5%, up from the previous 5.2% view. Our yearly average headline CPI forecast for 2026 is now 3.7% vs 2.9% previously. The peak quarterly CPI impact is assumed to occur in Q2 (+1.4%), reflecting the increase in prices of imported liquid fuels that will also start influencing downstream prices for CPI basket items requiring liquid fuels-based transport freight. The RBNZ is in a difficult position, entering the oil shock with a negative output gap and excess slack in the labour market. But significant slack should shield parts of domestic inflation from higher imported prices, so we continue to expect no change to the 2.25% OCR this year.

Figure 26. Australia and New Zealand – Economics Forecasts

	Australia			New Zealand		
	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP, a	2.0	2.0	2.3	0.2	1.2	2.1
Real GDP (4Q versus 4Q)	2.6	1.6	2.4	1.1	2.4	2.4
Private Consumption	2.1	1.6	2.2	1.6	1.8	2.2
Govt. Current & Capital Spending, b	3.3	2.8	2.0	1.2	0.5	0.5
Housing Investment	6.0	4.5	5.2	-4.8	2.2	4.5
Business Investment, c	1.8	4.2	5.1	-2.0	0.0	2.0
Exports of Goods & Services	2.7	2.2	2.2	2.1	0.2	1.0
Imports of Goods & Services	0.0	3.9	3.8	0.7	0.0	1.2
CPI	0.0	4.7	2.7	2.8	3.7	2.8
CPI (4Q versus 4Q)	3.6	4.4	2.7	3.1	4.0	2.4
Unemployment	4.1	4.8	4.7	5.4	5.5	5.1
Merchandise Trade, BOP (Local Currency, bn)	44.8	32.0	26.0	-1.6	-5.4	-8.6
Current Account (Local Currency, bn)	-74.2	-89.0	-99.2	-9.7	-15.3	-17.3
Percent of GDP	-2.6	-2.9	-3.1	-2.2	-3.4	-3.7
Budget Balance (Local Currency, bn), d	-11.4	-34.2	-27.5	-16.1	-15.9	-11.7
Percent of GDP	-0.4	-1.1	-0.9	-3.6	-3.5	-2.5
General Govt. Debt (% of GDP), e	55.1	52.8	53.1	46.6	52.1	55.1

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Note: F Citigroup forecast. NA Not available. a, Averaged-based GDP in Australia and New Zealand. b, In New Zealand excludes capital spending. c, In New Zealand includes government capital spending. d, Fiscal year ending June. Australia's underlying cash balance. e, Australia and New Zealand Budget definition and forecasts.

Source: Citi Research, Haver Analytics

China

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China's growth was steady and on track in 26Q1. GDP expanded 5.0% YoY in Q1 2026, a meaningful acceleration from 4.5%YoY in 25Q4. Sequential growth held at 1.3%QoQ (NBS seasonal adjusted). Nominal growth – a more significant variable in our view – recovered to 4.9%YoY vs. 3.9%YoY, a 10-quarter high. GDP deflator narrowed to -0.1%, just shy of positive territory and only slightly missing our earlier expectations of +0.1%. China seems firmly on track to meet [its 4.5~5.0% full-year target](#).

The K-shaped divergence widened, though property sector is seeing some early green shoots. Supply side continued to outperform. Industrial production grew 6.1% YoY in Q1 and 5.7% YoY in March. **Domestic demand** remained the weak link. Retail sales slowed to 1.7% YoY, the third-lowest monthly reading since reopening. The household savings rate showed no sign of normalization amid weak job and income expectations: unemployment rate rose unexpectedly in March, and urban income growth lagged in nominal rebound. AI-driven labor displacement adds a structural headwind. [We estimate](#) ~9.6% of jobs (~70mn) are at displacement risk, and [our proprietary survey signals](#) a tipping point in adoption. **Property** offered early green shoots with property stabilization broadening.

We hold our 2026 GDP forecast at 4.7% YoY. Risks are balanced. The Middle East conflict had not yet visibly impacted March data, as petrochemical output stayed robust. [Our high frequency](#) monitors hint at early pressure into April. Combined with potential secondary demand effects via exports, we nudge Q2 2026 growth down to 4.5% YoY. The nominal rebound should be more pronounced, but with household income growth lagging, the demand weakness remains a concern.

We do not expect the April Politburo meeting to result in significant policy changes. With growth at the top of the target range and industrial reflation providing fiscal breathing room, near-term urgency for policy adjustment appears limited. We continue to look to the mid-year Politburo meeting as the more likely venue for policy recalibration. We continue to expect PBoC rate and RRR cuts in 26H2E. In the interim, a key watch point is [the US-China Presidential Summit](#). We maintain our base case of contained bilateral risks this year despite ongoing geopolitical noise.

Figure 27. China - Economics Forecasts

					2025	2026				2027			
		2025	2026F	2027F	4Q	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF
Real GDP	YoY	5.0	4.7	4.6	4.5	5.0	4.5	4.6	4.7	4.5	4.7	4.6	4.6
Final Domestic Demand	YoY	3.8	4.0	4.0									
Consumption	YoY	5.0	5.2	5.1									
Fixed Capital Formation	YoY	2.3	2.5	2.6									
Industrial Production	YoY	4.5	4.4	4.3	5.2	5.2	5.1	5.3	5.2	4.4	4.6	4.5	4.4
Exports	YoY	5.5	4.5	2.5	3.8	14.7	0.4	1.5	2.4	-7.5	6.5	5.5	5.4
Imports	YoY	0.0	6.0	2.0	2.9	22.7	2.6	0.7	0.7	-6.0	3.5	5.5	5.4
Merchandise Trade	\$bn	1,152	1,176	1,192	315	265	301	301	335	234	340	318	353
FX Reserves	\$bn	3,643	3,570	3,490	3,623	3,589	3,570	3,550	3,530	3,510	3,490	3,470	3,450
Current Account Balance	% of GDP	3.2	3.0	2.8									
General Government Balance	% of GDP	-4.0	-4.0	-3.8									
General Government Debt	% of GDP	107.2	108.2	109.2									
Urban Unemployment Rate	YoY	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1
CPI	YoY	0.0	0.7	0.8	0.6	0.8	0.7	0.6	0.6	0.4	0.7	1.1	1.0
Policy interest rate (end period)	%	1.40	1.30	1.20	1.40	1.40	1.40	1.30	1.30	1.20	1.20	1.20	1.20

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Note: General Govt. Debt includes the debt of central, local government and Ministry of Railway; since 2015, more general government debt methodology (including the LGFV) is adopted; We refer to 7d Reverse Repo Rate as Policy Rate.

Source: Citi Research, CEIC Data Company Limited, Haver Analytics

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El Nino risks emerge, IMD predicts weak monsoon: Weather events could intensify supply side shocks as El Nino risks emerge and IMD's first monsoon forecast puts rainfall at 8% below long period average (LPA). To put this forecast in context, we looked at IMD's first monsoon forecast in 8 Global El Nino years that we have had this century. Only once in those 8 years did the IMD start its monsoon forecast with a "below normal" prediction and this 8% below LPA forecast is the lowest in this century. Historically, El Niño years often lead to droughts, reduced agricultural production and Agri GVA, and increased food grain inflation as seen during the 2023 El Niño episode.

Benign core inflation faces weather and energy shocks: March's headline inflation reached a 14-month high of 3.4%YY. Cooking gas price saw an increase, but the broader energy category and underlying core CPI (excluding precious metals at 2.1%YY) showed muted pressure, indicating limited impact from geopolitical conflicts. But inflation momentum could rise due to: **(1)** some uptick in petrol/diesel prices, **(2)** food supply risk from below normal monsoon (IMD forecast 8% below LPA) and **(3)** impact of other supply-chain disruptions (higher shipping costs and fertilizer prices). We revise our FY27 headline inflation forecast to 4.6%YY but see core inflation at 4.2%YY (vs RBI 4.4%).

Middle East conflict disrupted GCC goods exports and oil & chemical imports in March, but disruptions have not affected trade with the rest of world. Exports to KSA & UAE declined by 58%YY but excluding these two, goods export growth remained at -2%YY. Oil import was down 36%YY as volume effect dominated price effect. Chemical and plastic products import growth declined. We have adjusted our BoP forecast marginally to reflect some recently released data and revision in Citi's gold price view. **We revise FY27 CAD forecast to 1.4% of GDP (vs 1.2% earlier) and see USD 18bn BoP deficit in FY27 (vs USD 10bn deficit earlier).**

Fiscal and monetary policy: On fiscal policy, the govt has announced INR 10/liter cut in petrol/diesel excise duties which on an annualized basis could cost 0.45% of GDP. There could be further pressure of 0.10-0.15% of GDP from higher fertilizer subsidy. But this is partly offset by export duties on refined products which could raise ~0.2% of GDP. There could be other sources of slippage as well, but the key issues remain around the timeline of the Middle East conflict and pace of reversal in energy prices. This will determine how soon could the fuel tax cuts be reversed. On monetary policy, we continue to believe that the RBI can stay on hold for the immediate future. We believe the risk of a modest upward adjustment to policy rate will arise only if the supply side shocks feed through into core inflation and it stays elevated above ~4.5%.

Figure 28. India – Economic Forecasts

		2025/26F	2026/27F	2027/28F
Real GDP	YoY	7.6	7.1	7.0
Private Consumption	YoY	7.7	7.3	7.2
Fixed Capital Formation	YoY	7.1	7.4	7.1
Exports	YoY	6.5	6.0	6.0
Imports	YoY	6.4	6.0	6.1
Consumer Price Index	YoY	1.9	4.6	4.3
Current Account Balance	% of GDP	-0.8	-1.4	-0.6
Consolidated Government Balance	% of GDP	-7.6	-7.2	-7.1
Centre Fiscal Balance	% of GDP	-4.5	-4.4	-4.5

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

South Korea & Indonesia

South Korea

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In our base case, we maintain our view of that the BoK's will hike policy rate by 25bps each in July 2026 and October 2026 towards a 3.00% terminal rate. Hyun Song Shin as the next BoK Governor would preside over the May 28th MPB meeting and subsequent meetings till April 2030. We believe he may prefer monetary tightening once he sees robust evidence for the secondary effects of cost-push inflation as well as excess liquidity-driven accommodative Financial Conditions. Assuming average \$83/bbl Brent oil price for 2026, on our estimates, CPI inflation in April'26-September'26 will likely stay at around 2.8%YoY-3.3%YoY range, which will be followed by persistent mid-2%YoY core CPI inflation in August'26-July'27. In the alternative case of meaningfully lower oil prices averaging \$US72/bbl for 2026, BoK would be less likely to hike in 3Q26 in our view as YoY CPI inflation would be capped at around 2.5%YoY in April'26-September'26. However, we see scope for the BoK to slow the pace of two rate hikes at a delayed timing (4Q26-2Q27) considering strong economic growth as well as accommodative financial conditions, backed by the equity market and the Seoul housing market.

Indonesia

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The cyclical rebound of GDP growth is likely to have continued into 1Q26, but we lower our FY26 GDP growth by 0.3pps to 5.1% due to potentially higher growth headwinds in the coming months. As prices of subsidized fuels remain unchanged, we expect headline inflation to remain within BI's YE26 target range of 2.5% +/- 1% this year, although the possibility of a breach may rise. Food and broader industrial production costs have likely increased, driven by rising global soft commodity prices and a scarcity of petrochemical products. We also see a risk scenario of a BI rate hike, though this is not our base-case. From historical experience, a hike becomes very likely if cumulative FX market pressure (% FX depreciation + % foreign reserve depletion) continues to rise to double digit levels, from an already high single-digit level in Jan-Mar. Government FCY debt issuances will likely continue supporting foreign reserves and fixed income foreign inflows seem to have gathered pace following SRBI rate hikes. However, ID's commodity terms of trade have not improved since the conflict and dividend season is in full swing, pressuring FX. On the fiscal side, revenue growth in 1Q registered a decent 11% YoY, however the significant imbalance between revenue and spending growth (31% YoY) remains.

Figure 29. Korea and Indonesia – Economic Forecasts

		South Korea			Indonesia		
		2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	1.0	2.2	2.1	5.1	5.1	5.0
Domestic Demand ex. Inventories	YoY	0.2	1.4	1.3	4.8	5.6	4.2
Private Consumption	YoY	1.3	1.7	1.4	5.0	3.9	3.9
Fixed Investment	YoY	-3.3	-0.2	0.6	5.1	5.5	5.0
Exports	YoY	4.1	6.6	4.8	7.0	6.4	6.7
Imports	YoY	3.8	5.6	3.5	4.8	8.1	2.5
CPI	YoY	2.1	2.6	2.0	2.4	3.1	3.7
Unemployment Rate	YoY	2.8	3.0	3.0	4.9	4.1	5.0
Current Account	\$bn	123.1	204.6	186.8	-1.5	-5.5	-24.4
	% of GDP	6.6	10.5	8.9	-0.1	-0.4	-1.5
General Government Balance	% of GDP	-1.8	-1.9	-1.9	-2.9	-3.5	-3.1

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

Hong Kong, Singapore & Taiwan

Hong Kong

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We believe the impact of energy disruptions for HK will likely be inflationary rather than overly damaging on growth. Even with overall weak pricing power, energy driven inflation passthrough to consumer products and services will likely still become more noticeable as energy uncertainty drags on. The return to operating surplus in FY2025/26 after 6 years of deficits likely allows the government to stand ready to provide targeted energy subsidy like the 2-month subsidy on diesel announced recently. We see room for a new round of residential electricity subsidy in the Oct Policy Address, if the ME conflict ramifications persist. HKMA rolled out first HKD-linked stablecoin licenses in a tightly controlled manner, prioritizing compliance, reserves backing and market credibility. 1M HIBOR jumped on equity market bounce following ceasefire talks.

Singapore

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1Q26 growth slowed more than expected to 4.6% and we lowered our 2026 forecast to 3% (from 3.5%), assuming 1H26 technical recession is narrowly averted. March data showed limited impact from the energy shock amidst continued strength in trade. While the higher “oil tax” on consumption could be limited, the refining, petrochem and transport sectors are being hit by higher production costs, and to some extent physical shortages. Supply chain disruptions, terms of trade shocks and tighter financial conditions also weigh on external demand. MAS’s 50bps slope steepening in April balances between anchoring inflation expectations amidst a second 50bps hike in core inflation forecasts (to 1.5-2.5%, Citi: 2%), and growth uncertainties. With policy likely still too accommodative, we tentatively see another 50bps steepening to 1.5% in July, though this also hinges on growth. Concerns over financial conditions, and fiscal stimulus could keep liquidity flush near term, alongside any resurgence in non-resident deposits.

Taiwan

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1Q strong exports (+51.1%yoy) and trade surplus (US\$52.9bn or +124.1%yoy) are key drivers of our GDP upgrade to 6.9%yoy. Heavy subsidies and energy being a low weight component in CPI basket continues to mute energy passthrough to CPI. With equities pushing to record highs amidst risk-on behavior post US-Iran ceasefire, we believe asset inflation could also spillover to property. While CBC relaxed housing policy for second-home mortgages, we think CBC will continue to lean against the wind if property heats up more obviously, and thus we maintain our call for a 12.5bps rate hike at Dec MPC. In the Mar MPC meeting, NDC and banks are actively putting together the loan guarantee package for supply chain to invest in US under the US-TW trade and investment deal.

Figure 30. Hong Kong, Singapore and Taiwan – Economic Forecasts

		Hong Kong			Singapore			Taiwan		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	3.5	3.2	3.2	5.0	3.0	2.3	8.7	6.9	5.1
Domestic Demand ex Inventory	YoY	2.1	2.5	2.3	4.3	3.5	2.8	4.1	4.1	4.1
Private Consumption	YoY	1.7	1.8	1.7	3.9	4.4	3.5	1.5	2.3	1.9
Fixed Investment	YoY	4.3	6.1	4.7	6.1	2.7	1.6	10.5	5.3	3.3
Exports	YoY	11.2	5.4	3.9	10.8	4.1	2.8	31.8	18.5	11.7
Imports	YoY	11.6	5.2	3.4	11.9	3.7	3.1	26.8	17.8	10.2
CPI	YoY	1.5	1.9	1.7	0.9	2.0	1.8	1.3	1.9	2.0
Unemployment Rate	YoY	3.7	3.5	3.0	2.1	2.1	2.0	3.3	3.4	3.4
Current Account	\$bn	52.2	65.7	63.1	110.2	110.6	121.1	157.1	168.0	156.9
	% of GDP	12.2	14.6	13.2	17.6	16.7	17.5	17.1	16.8	14.5
General Government Balance	% of GDP	0.1	0.6	0.2	1.9	1.0	0.8	0.1	-0.1	-0.1

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

Czech Republic, Hungary & Poland

Czech Republic

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We expect real economic activity to expand at a solid pace close to potential over the forecast horizon, reaching 2.6% in 2026 and 2.5% YoY in 2027. Headline inflation accelerated to 1.9% YoY in March (from 1.4%), driven primarily by a sharp increase in fuel prices. At the same time, core inflation rose by 0.2pp to 2.9% YoY, largely reflecting continued robust growth in services prices. We leave our forecasts unchanged, with headline inflation projected at 2.1% in 2026 and 2.5% in 2027, while we expect core inflation to decline only gradually from 2.7% this year to 2.3% next year. From a monetary policy perspective, we continue to expect the CNB to keep interest rates at a mildly restrictive level of 3.50%, with a strong emphasis on assessing the persistence of core inflation.

Hungary

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A key event in the past month in Hungary was the parliamentary election and the landslide victory of the opposition party Tisza. The election outcome has raised expectations of a substantial improvement in relations with the European Commission and the unblocking of EU funds. EU-financed investments will likely help boost GDP growth without putting too much burden on public finance. The prospect of stronger GDP, larger EU fund inflows and better rating outlook have already led to strengthening of the HUF and we expect appreciation trend may be extended into the future. The Middle East conflict has led to a sharp rise in oil prices, but the impact on Hungary's inflation has been partly offset by the government's decision to introduce fuel price caps. FX strength combined with benign inflation may open room for rate cuts to resume in Q3 2026.

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Poland

Uncertainty over inflation developments is elevated, but we think that it would move gradually above 3.5% target. Further developments in fuel markets would be a significant factor for inflation path. The government has already lowered excise and VAT taxes on fuels and introduced a maximum retail price on fuels at gas stations. Given the prevailing macroeconomics environment, rate cuts in Poland look unlikely in 2026 and we believe the bar for rate hike is quite high. MPC members are signaling cautious approach to monetary policy suggesting high degree of uncertainty. We expect increase in core inflation to be more muted than

headline inflation, which should be one of the factors limiting MPC's appetite to hike rates. GDP growth is likely to remain strong in 2026 driven by robust consumption and EU funds flow.

Figure 31. Czech Republic, Hungary, Poland — Economic Forecasts

		Czech Republic			Hungary			Poland		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	2.6	2.6	2.5	0.4	2.0	3.4	3.6	3.9	2.9
Domestic Demand ex. Inventories	YoY	2.9	2.5	1.9	1.0	3.4	3.2	4.0	5.0	2.9
Private Consumption	YoY	3.0	3.1	2.8	2.9	4.3	2.7	3.7	3.7	3.5
Fixed Investment	YoY	2.0	3.1	3.2	-2.8	1.3	6.1	4.3	8.8	1.6
Exports	YoY	4.1	3.4	4.9	-1.1	0.6	4.1	4.5	6.0	4.4
Imports	YoY	5.2	3.9	5.2	1.2	1.8	4.0	5.6	7.0	6.3
CPI	YoY	2.5	2.1	2.5	4.4	3.0	3.5	3.6	3.3	3.5
Unemployment Rate	%	3.0	2.8	2.6	4.4	4.0	3.9	5.7	5.8	5.7
Current Account	\$bn	3.1	-1.8	0.8	4.3	5.2	5.5	-8.9	-17.0	-22.2
Current Account	% of GDP	0.8	-0.4	0.2	1.6	1.9	1.9	-0.9	-1.6	-1.9
General Government Balance	% of GDP	-2.0	-2.5	-2.3	-5.0	-5.7	-4.4	-7.3	-6.7	-6.4

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[In our view](#), the conflict in the Middle East has highlighted the limitations associated with the CBT's current policy framework. One credible way to adjust the pace of depreciation without undermining sentiment could be to pair it with a rate hike. While the one-week repo suspension represents a de facto tightening of 300bp, the move is informal, reversible and not paired with an adjustment of the pace of depreciation. The CBT's reaction to the emerging macroeconomic backdrop remains a close call. Reserve dynamics have stabilized in recent days following the conflict driven EM de-risking, which may encourage the CBT to pursue a wait and see approach. However, the deteriorating inflation outlook and CAB amid growing competitiveness concerns could prompt the MPC to align the policy rate with the average funding rate of 40%. While we see the CBT keeping rates on hold in the near-term, a 300bp hike in the one-week repo rate to formalize the de facto tightening cannot be ruled out given rising external and internal imbalances.

Figure 32. Turkey — Economic Forecasts

		Turkey		
		2025F	2026F	2027F
Real GDP	YoY	3.6	2.5	2.9
Domestic Demand ex. Inventories	YoY	-	-	-
Private Consumption	YoY	4.0	4.1	2.5
Fixed Investment	YoY	7.0	4.2	3.4
Exports	YoY	-0.3	-0.6	3.3
Imports	YoY	4.9	-3.1	-0.1
CPI	YoY	34.9	30.6	23.7
Unemployment Rate	%	8.4	8.8	9.0
Current Account	% of GDP	-1.9	-3.2	-3.3
General Government Balance	% of GDP	-2.9	-4.1	-4.3

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Source: Citi Research, Haver Analytics

Nigeria, Saudi Arabia & South Africa

Nigeria

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Nigeria has seen two very high inflation prints in February and March. Moreover, inflation is likely to remain robust in the coming months until the domestic harvest starts to hit the market over the June to August period which should help drive a fall in inflation in 2H 2026 because of the ongoing importance of food prices in the CPI basket (40% of the basket). What is less clear to us, is whether recent inflation dynamics make the Central Bank of Nigeria (CBN) reluctant to cut the Monetary Policy Rate (MPR) at its May meeting or whether it only makes a very modest cut in line with recent moves, with more aggressive cuts then deferred until 2H 2026. With a high global oil price a broad positive for the Nigerian naira (NGN), we are now increasingly confident that we will see considerable exchange rate stability this year.

Saudi Arabia

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Amid the de-escalation in the Middle East, recent data provide preliminary evidence of the impact of the most severe oil supply shock on the Saudi economy. According to [OPEC secondary source figures](#), crude oil production in March declined by 13%YoY. [Recent evidence](#) (IEA, 4/14/26) also indicates that: (i) total crude exports, including those exiting the Strait and loadings from the Red Sea, fell by 3.5 mb/d to 3.4 mb/d on average; and (ii) crude exports from the Kingdom's west coast rose by 2.5 mb/d MoM in March to an average of 3.3 mb/d. Against this backdrop, we project oil GDP growth to slow from 5.7% in 2025 to 3.2% this year. Turning to non-oil activity, the PMI fell from 56.1 in February to 48.8 in March, dropping below the expansion threshold for the first time since the Covid shock in 2020. Nonetheless, [our analysis](#) suggests that non-oil activity in KSA is mainly driven by domestic factors, which should limit the economy's exposure to external shocks. With this in mind, we project non-oil (private) GDP growth to moderate from 4.9% in 2025 to 2.8% this year, bringing overall economic growth down to around 3% from 4.5% last year.

South Africa

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We retain our downgraded GDP growth forecast of 1.2% for 2026 (from 1.6%) and have upgraded CPI to now peak at 4.9% in Q4 26 and Q1 27 which means we have also moved to a view that the South African Reserve Bank will likely need to tighten monetary policy with two 25bp rate hikes in May and July respectively to hold up its aim of achieving its new and lower point target of 3.0% over the medium term. Fiscal policy has room to provide further inflation relief via the fuel levy in May and possibly June. This will not impair its policy credibility, in our view.

Figure 33. Egypt, Nigeria, Saudi Arabia & South Africa — Economic Forecasts

		Egypt			Nigeria			Saudi Arabia			South Africa		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	5.1	5.0	6.1	4.3	4.6	5.2	4.5	3.1	3.7	1.1	1.2	1.8
Domestic Demand ex Inventory	YoY	3.3	4.6	5.4	-	-	-	-	-	-	2.0	1.2	2.2
Private Consumption	YoY	0.7	4.1	5.2	-	-	-	-	-	-	3.6	1.4	2.6
Fixed Investment	YoY	21.7	8.5	7.8	-	-	-	-	-	-	-2.2	1.5	1.9
Exports	YoY	10.6	5.3	6.4	-	-	-	-	-	-	-2.5	1.2	1.9
Imports	YoY	1.7	3.3	2.9	-	-	-	-	-	-	1.1	1.7	1.9
CPI	YoY	14.1	14.7	8.0	23.3	14.7	11.6	2.0	1.9	2.2	3.2	4.2	4.6
Unemployment Rate	%	6.9	7.2	7.0	-	-	-	-	-	-	32.4	32.0	32.0
Current Account	\$bn	-12.0	-14.3	-16.7	14.6	16.6	11.2	-32.7	-15.6	-55.5	-	-3.5	-3.7
Current Account	% of GDP	-2.9	-3.1	-3.2	4.7	4.0	2.4	-2.6	-1.1	-3.8	-	-0.8	-0.8
General Government Balance	% of GDP	-6.1	-5.5	-4.6	-2.9	-2.9	-2.8	-5.8	-4.4	-4.6	-4.5	-4.5	-4.4

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Source: Citi Research, Haver Analytics

Brazil & Mexico

Brazil

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The appreciation of the exchange rate to around USD/BRL5.0 (from 5.20 in Mar-26) reflected the gains in [terms of trade, given that Brazil is a net oil exporter](#), amid a return of global risk aversion back to its historical average (VIX index below 20). Despite a stronger currency, the [significant increase in oil prices](#) is dominant from an inflation standpoint, pushing our year-end CPI inflation forecasts up to 4.5% YoY and to 3.7% YoY for 2026-27, further delaying inflation's convergence back to the 3.0% target. The higher-than-the-target inflation forecasts will likely prompt the Copom to maintain the interest rate cutting pace at 25bps per meeting, [shortening the size of the monetary cutting cycle](#). We expect the Selic rate at 13.25% and at 11.25% at 2026-27 year-ends. So far, we have maintained our 2026 GDP growth forecast at 1.8%. Lastly, we note that, [as the Presidential election approaches](#), politics and [fiscal](#) policy are becoming more intertwined, especially in a scenario of a tighter-than-expected election contest, as suggested by [recent polls](#). In this sense, although we broadly maintain our fiscal forecasts for 2026 (-0.6% for primary fiscal result and 83% for gross public debt), the balance of risks has arguably deteriorated given the rising likelihood of [larger domestic fuel prices subsidies](#).

Mexico

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The economy started 2026 on a weak note. We adjusted our 1Q26 sequential GDP growth forecast to a contraction of 0.2% QoQ/SA, from +0.1%. We expect the subsequent quarterly figures to improve, assuming a lower uncertainty environment assuming a [USMCA](#) trade review deal is likely be reached around mid-2026. We see a 2026 GDP growth of 1.3%, from 1.4%. We increased our headline inflation forecast for end of 2026 to 4.4%, from 4.2%, on the back of upside pressure registered in non-core food volatile prices. While we are not yet seeing generalized pressures in the rest due to the geopolitical conflict, we have previously [argued](#) that a persisting conflict could result in non-energy commodity prices also rising, which could exert pressure in a more generalized manner. Banxico still seems open to the possibility of another rate cut but the timing is less clear. Our base case remains for Banxico to delay the last rate cut of 25-bps envisaged in our scenario to at least June (reaching 6.50%). The [MoF sees lower deficits ahead](#) but achieving them is likely to be challenging. The broad deficit is estimated at 4.1% of GDP for 2026, compared to the fiscal deficit of 4.9% of GDP last year. The resilience in the USDMXN is not helping in this regard, as the budget is short the currency, dragging oil revenues denominated in MXN but this is mitigated by the financial cost. The government's goal of reducing the fiscal deficit is rendered more challenging by a strong currency, reliance on Banxico cutting more aggressively, optimistic revenue projections, and ongoing support for the state oil company.

Figure 34. Brazil and Mexico — Economic Forecasts

		Brazil			Mexico		
		2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	2.3	1.8	1.8	0.6	1.3	2.0
Domestic Demand ex. Inventories	YoY	1.7	1.8	2.3	-0.6	2.1	2.1
Private Consumption	YoY	1.3	1.9	2.1	1.1	2.6	2.0
Fixed Investment	YoY	2.9	2.1	3.8	-6.3	1.0	2.7
Exports	YoY	6.2	1.6	1.5	7.0	2.3	4.0
Imports	YoY	4.5	1.7	2.9	3.1	8.5	4.7
CPI (Avg)	YoY	5.0	4.5	3.7	3.8	4.2	3.8
Unemployment Rate	YoY	5.9	5.8	5.8	2.6	2.7	2.8
Current Account	\$bn	-69.0	-76.8	-78.2	-8.2	-20.0	-19.6
	% of GDP	-3.0	-3.0	-3.0	-0.4	-1.0	-1.0
General Government Balance	% of GDP	-8.3	-8.5	-8.0	-4.9	-4.4	-3.7

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Source: Citi Research

Argentina, Chile & Colombia

Argentina

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The Argentinean economy is undergoing a significant transformation with apparently conflicting results: the BCRA is rapidly acquiring reserves, and the currency is appreciating, yet inflation remains high after ten consecutive monthly increases, while economic activity and tax collection are slowing. March's CPI Inflation reached 3.4%MoM and has shown 10 consecutive months of increase. The conflict in the Middle East, if short-lived, would likely be limited to disruptive relative price dynamics. However, the current situation is vulnerable to external shocks, as a prolonged conflict in the Middle East could raise global interest rates and trigger capital outflows, spotlighting risks of low reserves and relatively illiquid capital markets. In the medium term, a potential shift in exports toward mining and energy risks creating the so-called "[Dutch Disease](#)" phenomenon where currency appreciation and high inflation render other export sectors uncompetitive.

Chile

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Chile enters 2Q26 with stable macro conditions, but momentum constrained by politics and renewed inflation noise. Activity remains modest and uneven: external demand and services exports are providing support, but labor market softness and hesitant private investment continue to cap upside. Inflation risks have shifted back to the fore as fuel prices reassert themselves, effectively closing the door to further monetary easing and anchoring policy in a prolonged hold. The central issue, however, is fiscal-political execution. President Kast's reform agenda is ambitious but met early with legislative fragmentation, complicating fiscal signaling and delaying confidence gains. While medium-term fundamentals remain sound, near-term outcomes will depend less on macro mechanics and more on whether governance frictions ease quickly enough to unlock investment.

Colombia

Macro backdrop weakened further as inflation persistence drove aggressive monetary tightening amid rising institutional tensions. Services-led inflation and embedded wage effects are keeping expectations elevated, limiting policy flexibility despite slowing activity. Fiscal credibility remains a concern, as some financing approaches could obscure underlying structural spending pressures. Political factors increasingly appear to be influencing the economic outlook, as rising tensions between the executive and key institutions and an increasingly polarized election cycle have turned governance risk into a macro variable. Markets appear to be looking past the remainder of the current administration, with the June runoff increasingly being seen as an inflection point for policy consistency and medium-term stabilization.

Figure 35. Argentina, Chile and Colombia — Economic Forecasts

		Argentina			Chile			Colombia		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	4.4	3.2	3.5	2.5	2.2	2.3	2.6	2.7	3.0
Domestic Demand ex Inventory	YoY	-	-	-	3.7	3.0	2.5	3.9	3.0	3.1
Private Consumption	YoY	-	-	-	2.7	2.7	2.1	3.6	3.2	3.1
Fixed Investment	YoY	-	-	-	7.0	4.1	3.0	1.3	1.6	3.0
Exports	YoY	-	-	-	4.6	5.2	3.3	1.8	2.9	2.9
Imports	YoY	-	-	-	10.5	5.9	3.5	8.4	4.3	3.4
CPI (Avg)	YoY	61.3	28.0	24.0	4.2	3.2	3.5	5.1	5.6	4.4
Unemployment Rate	YoY	6.9	7.5	7.3	8.6	8.6	8.5	8.5	8.8	9.7
Current Account	\$bn	-9.6	-8.6	-8.4	-8.9	-7.8	-9.3	-9.7	-12.8	-13.8
	% of GDP	-1.4	-1.3	-1.2	-2.5	-2.0	-2.3	-2.1	-2.4	-2.4
General Government Balance	% of GDP	0.1	0.0	-0.2	-2.0	-1.7	-1.5	-6.2	-6.4	-4.5

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Source: Citi Research, National Sources

Multi-Asset Views

Global Equity Strategy

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- Global equities have climbed back to all-time highs amid signs of de-escalation between the US and Iran. However, the geopolitical backdrop remains fluid, especially following the US' announced blockade of the Strait of Hormuz, and Citi economists see risks to the global economy as skewed to the downside. Against this backdrop, we adopt a Quality/Defensive tilt in our global equity strategy, while acknowledging the need to remain nimble in the weeks ahead.
- **Key Theme: Middle East Developments:** In our Global Equity Quarterly, we highlighted three key themes likely to shape the equity market outlook: (1) geopolitics & stagflation risks (2) cracks in the "broadening" thesis, and (3) the evolving AI trade. See: [Global Equity Quarterly - Geopolitics in the Driver's Seat](#).
- **Fundamentals:** Bottom-up consensus sees +20% global EPS growth in 26E. Our top-down models imply EPSg of +16%. While EPSg was expected to "broaden" this year, the growth differential between Tech/Commodities and peers has widened YTD. This suggests EPSg may in fact be "narrowing" into a smaller set of sectors, underlying themes, and large caps. The MSCI AC World has seen valuations compress by c10% YTD, with the index now trading on a 12m fwd PE of c18x (c81st percentile vs. 25Y history). Key Cyclical markets/sectors are still priced for EPS upgrades, potentially leaving room for disappointment.
- **Sentiment & Positioning:** Positioning on most equity indices, except the US, was very bullish before Iran conflict began; this has now mostly unwound. Investors remain net short on both the US and Europe. Citi's Levkovich Index, a gauge of US market sentiment is in "Euphoria". Our Bear Market Checklist (8/18 red flags globally) would recommend buying into dips.
- **Global Recommendations:** While geopolitical resolution should revive sentiment, a return to pro-cyclical trading dynamics may prove difficult. We recently upgraded the US to Overweight (from Neutral), pairing it with the UK. EM moves to Neutral (from O/W). In global sectors, key allocation changes include upgrading global Materials to O/W, while downgrading Comm Svc to U/W. We acknowledge that this allocation is more tactical in nature given limited visibility further out. Alternatively, in a quick conflict resolution scenario, we would likely prefer an O/W pairing of the US and EM. All this means international equity outperformance (vs. the US) might be on pause for the time being, however, longer-term drivers could reassert themselves later this year.

Figure 36. Global Recommendations (Upgrade, Downgrade)

Overweight	Neutral	Underweight
Regions		
UK	Europe ex-UK	Japan
US	EM	Australia
Sectors		
IT	Real Estate	Cons Staples
Health Care	Industrials	Comm Svc
Materials	Energy	
	Utilities	
	Cons Discr	
	Financials	

Source: Citi Research

Figure 37. Citi Global Earnings Revisions Index (4w)

Headline Index	ACWI	US	Eur x UK	UK	EM	Japan
	-8%	-1%	-5%	-16%	-15%	5%
Energy	42%	37%	63%	41%	41%	NA
Materials	4%	9%	-16%	38%	10%	-22%
Industrials	-16%	-4%	-10%	-21%	-32%	10%
Consumer Discretionary	-42%	-43%	-47%	-41%	-43%	-23%
Financials	-1%	2%	19%	-6%	-18%	51%
Real Estate	-35%	-17%	-39%	-71%	-41%	18%
IT	30%	42%	35%	NA	24%	35%
Consumer Staples	-40%	-61%	-42%	-90%	-32%	-19%
Health Care	-7%	3%	-13%	0%	-11%	7%
Communication Services	-26%	-1%	-17%	-29%	-43%	-2%
Utilities	-14%	31%	12%	-14%	-43%	-43%

Source: Citi Research, Factset, MSCI

Developed Markets Rates Strategy

US Rates

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We continue to lean on our bullish duration view even if there remains uncertainty around the duration of the geopolitical conflict (see [US Rates Weekly - Reopening rate cuts?](#)). We continue to think that further rate cuts should be priced into 2027, especially if oil prices move lower by year-end. The crux of our argument is that the forward curve is pricing too few rate cuts, at slightly more than one, and presumably a Fed on hold in 2026 should justify sharper and deeper rate cuts in 2027 and 2028. At the same time, we think that a low-hire, low-fire economy opens a large downside yield asymmetry. For example, the JOLTS data from two weeks ago reported the hiring rate reaching new local lows. Recent Fed speak suggests that the Fed could “look through” energy prices if the conflict comes to an end in the near term. Our core position remains long duration on the front end on a covered basis as inflation prints will make it challenging for a very large rally in the short term. For investors in cash USTs, we think the equivalent trade is long the belly outright and on the fly. On the curve, we continue to lean into a steeper 5s30s curve, primarily in a bull scenario. Lastly, we continue to recommend carry trades and currently like going long the belly in swap spreads, relative value spreads steepeners on the longer end of the curve, paying on the XCCY basis (we favor SOFR/TONAR), and long 30y breakevens (2.25% as of 9:00 am on 4/23/26, see [US Rates Strategy - Going long 30y breakevens](#)).

Europe rates and EGB spreads

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Citi economics view for the ECB has changed from a long hold to two quick hikes in June and July. This is consistent with the ECB acting pre-emptively to ensure its inflation credibility amidst another inflation shock, which already looks likely to have a degree of longevity irrespective of what happens next in the Middle East conflict. Hiking to 2.5% can be seen as still within the neutral range. The house view then looks for a long pause at 2.5%. On the one hand, demand destruction may prevent a fuller hiking cycle. On the other, wider fiscal stimulus may prevent the hikes being reversed. As such, this pushes up on our yield forecasts for the next couple of quarters – especially in the front-end – but only to a little above current market levels (which, at the time of writing, has retreated from fully priced 2x25bp). That gives a slight near-term bearish bias, forecasting 10yr Bunds to average 3.05% in 2Q26. We stick with 3% for year-end (4Q26), however, on the assumption that anticipation of a long hold at 2.5% anchors yields. Essentially, we hold a broadly range-bound view for duration and curve (albeit with steepening pressure on 10s30s building later in the year ahead of the 2027 Dutch PF transition). As for EMU spreads, there are tentative signs that re-tightening is starting to stall relative to the wider rally in risks assets. This fits with our view that BTP-Bund spreads may not fully reverse the widening seen since the conflict began with ECB hikes now base case and given the possibility of further fiscal support and a weaker growth outlook. We pencil in 70bp for 10yr BTP-Bund for the next couple of quarters. Beyond that, our longer-term bias is towards mild tightening, but we do not expect the tights of 1Q26 to be broken anytime soon.

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UK

While the MPC likely remain split, we expect the majority to be patient in assessing the inflationary consequences of the conflict in the Middle East with a bias to look-through. That seems to be the message coming from Governor Bailey of late, emphasising that the inflation remit should be met while limiting the impact on jobs and growth. Moreover, a decision to hold is already hawkish with policy rates still at a restrictive level. The front-end has already reverted to more sensible level following the positioning washout early in the conflict. We remain bullish, but more for the medium-term than the near-term. For the long-end, our yield forecasts are little changed this month (following the bearish reappraisal last month) and we continue to pencil in mildly bullish forecast of 4.5% for 10yr gilt yields in 4Q26. The potential to rally has been curtailed by the shift in the BoE outlook (from cuts to a hold for 2026 in our base case), especially with political risk (from market concerns over the longevity of the Starmer/Reeves leadership) and fiscal risk (on the funding for defence spending) back in the spotlight. These risks may keep up steepening pressure on 10s30s, especially around the known event risks of the 7 May local elections and then the all-important autumn Budget. Our forecasts suggest a stronger bullish case for gilts will emerge into 2027 but that is too distant to attach any conviction.

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The pricing of an April rate hike has receded as uncertainties remain on the Middle East tensions. We think the government will want the BoJ to take only gradual action, and if this is correct, we think standing pat with a hawkish tone would be appropriate. This would mean a stance that suggests a hike in June if the situation stabilizes, and we think the number of votes supporting a rate hike would increase. As the assumed rate hike pace remains steady at 2 hikes per year, we expect a flattening bias between the June and September meeting curve.

The 10y JGB yield once tested 2.5% and the 20y JGB yield exceeded the level in January but has since declined. We think rebalancing demand at pension funds will support the market into this month-end. On the other hand, there is a high possibility that fiscal policy discussions such as expanding subsidies for electricity and gas prices will become more active, and the risk premium is likely to be reflected in the 10y sector. If the 5y forward 5y rate rises further under such circumstances, there should be a time when buying will become more active around Japan's Golden Week holiday.

Commodities

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- In oil markets, should an MOU/ceasefire extension be signed this week and Strait of Hormuz flows and production gradually resume through May, potentially reaching pre-disruption levels by the end of June, we estimate global crude and product inventories would decline by roughly 900 mb. This includes approximately 500 mb of draws already realized and a further ~400 mb of anticipated losses associated with ramp-up delays, logistical constraints, and conflict-related damage. **This would take inventories back to last year's lows relative to consumption by the end of June, a level consistent with our base case Brent forecasts of \$95/\$80/\$75 per barrel for 2Q26/3Q26/4Q26 respectively.** We estimate rebuilding these losses would take more than two years assuming a quick return to a 1mb/d surplus market post-conflict (noting that global oil demand and supply in recent years have tended to grow at around 1 mb/d).
- Should flows through the Strait of Hormuz remain disrupted for an additional month at roughly current levels—with Bab al Mandeb and Fujairah diversions persisting—we estimate total losses to rise to an estimated 1.3 bn barrels. **Under this scenario, prices would likely be closer to \$110/\$90/\$80 per barrel in 2Q26/3Q26/4Q26 on our estimates.** If the SoH or other energy infrastructure disruptions continue for another two months (around 8–9 weeks from today), that would imply losses of approximately 1.7 bn barrels, pushing global crude and product inventories to their lowest levels on record (based on ~25 years of data), with prices likely trading alongside our **bull case scenario of \$130/\$130/\$100 per barrel for 2Q/3Q/4Q.** Against these entirely plausible upside scenarios, rolling long positions in front month crude could provide an effective hedge.
- **At the margin, we are encouraged by President Trump's decision earlier this week to extend the ceasefire.** That said, we remain prepared to pivot toward a more protracted disruption scenario should negotiations falter this week. Indeed, we think the “boiling frog” analogy is apt: each day that passes we literally burn through around 13 mb/d of crude and oil products.
- **We are bullish on gold taking a 6–12-month view.** In our base case scenario (50% indicative probability), we see gold grinding higher to \$5,000/oz as heightened macro and geopolitical uncertainties support demand for gold. In our bull case scenario (30% indicative probability), gold price continues to rally to \$6,000/oz by the end of 2026 and \$7,000/oz by 2027, driven by prolonged Iran conflict and resulting stagflation, supporting portfolio hedging demand and strategic allocation to gold. In our bear case scenario (20% indicative probability), gold price trends lower and erases 2026 gains to reach \$4,000/oz by year-end assuming speedy de-escalation on geopolitics and a goldilocks growth scenario for US economy weighing on gold demand.
- **We mark-to-market our 0–3m copper price forecast to \$13k/t (and revise higher several of our other base metal forecasts), with recent US–Iran de-escalation meaningfully narrowing the tail-risk of a major global growth and demand shock.** Copper pricing also appears partly insulated from a scenario of prolonged Hormuz strait disruption as supply risks (e.g. from sulphur/diesel shortages) and energy transition demand resilience can partly cushion any headwinds for growth and cyclical copper demand. Our end-use consumption tracker implied soft year-on-year growth in Jan–Feb. Global PMI indicators showed improvement through March but may soften as energy disruption impacts are felt more keenly through 2Q'26.

Figure 38. Citi Research commodity price forecasts*

		Price Targets								Annual Forecasts			LT Price	
		Spot*	0-3M	%chg vs spot	6-12M	%chg vs spot	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2025	2026E	2027E	\$2025
Energy														
ICE Brent	USD/bbl	mx	120	-	80	-	80	95	80	75	68	83	70	70
NYMEX WTI	USD/bbl	88	108	22%	74	-16%	73	83	72	69	65	74	65	67
Henry Hub Natural Gas	USD/MMBtu	2.7	2.5	-8%	4.0	47%	3.5	2.8	3.0	3.6	3.6	3.2	3.6	3.9
JKM LNG	USD/MMBtu	15.8	27.0	71%	16.0	1%	15.0	26.8	17.2	16.1	12.4	18.8	13.4	6.0
TTF Natural Gas	USD/MMBtu	14.5	25.4	76%	15.2	5%	14.0	25.4	16.7	15.5	12.0	17.9	12.9	5.0
EUA Carbon	EUR/t	75	65.0	-13%	80.0	7%	N/A	N/A	N/A	N/A	80	115	115	N/A
Precious Metals														
Gold	USD/t. oz	4768	4300	-10%	5000	5%	4,900	4,500	4,800	4,900	3,443	4,775	5,000	3,600
Silver	USD/t. oz	78.6	60.0	-24%	80.0	2%	85.0	65.0	70.0	72.0	40.1	73.0	75.0	35.0
Platinum	USD/t. oz	2082	1850	-11%	2100	1%	2,220	1,950	2,000	2,050	1,286	2,055	2,100	1,800
Palladium	USD/t. oz	1576	1400	-11%	1600	2%	1,720	1,450	1,500	1,550	1,154	1,555	1,600	1,400
Industrial and Other Metals														
LME Copper	USD/MT	13206	13000	-2%	12000	-9%	12,818	12,500	12,500	12,000	9,960	12,450	12,000	11,000
LME Aluminum	USD/MT	3599	3300	-8%	3500	-3%	3,250	3,450	3,400	3,400	2,628	3,400	3,500	3,000
LME Lead	USD/MT	1955	1950	0%	2000	2%	1,930	1,950	2,000	2,000	1,959	1,970	2,000	2,000
LME Zinc	USD/MT	3461	3300	-5%	2800	-19%	3,235	3,100	2,900	2,800	2,878	3,000	2,800	2,700
LME Nickel	USD/MT	18088	19000	5%	17000	-6%	17,325	18,000	17,000	17,000	15,179	17,350	17,000	17,000
CME Lithium Hydroxide	USD/MT	20600	18000	-13%	14000	-32%	18,200	18,000	17,000	17,000	9,400	17,550	13,000	20,000
Uranium	USD/lb	87	105	21%	125	44%	90	100	110	115	73	104	131	63
Bulk Commodities														
Iron Ore (TSI)	USD/MT	107	105	-2%	95	-11%	104	105	95	100	102	101	90	85
Thermal Coal (Newc 6K)	USD/MT	133	170	28%	130	-2%	120	150	130	130	107	133	120	100
Coking Coal (Aus PHCC)	USD/MT	231	240	4%	220	-5%	235	240	215	230	188	230	223	200
Agriculture														
CBOT Corn	USD/bu	455	475	4%	525	15%	440	455	480	480	450	464	513	N/A
CBOT Soybeans	USD/bu	1182	1250	6%	1200	2%	1125	1200	1250	1250	1,052	1,206	1,163	N/A
CBOT Wheat	USD/bu	604	600	-1%	650	8%	550	600	600	650	531	600	575	N/A
ICE Sugar	USD/lb	13.4	17.0	27%	19.0	41%	14.7	17.0	17.0	19.0	17.1	16.9	18.0	N/A
ICE Coffee	USD/lb	289	275	-5%	250	-13%	319	285	260	250	371	279	225	N/A
ICE Cocoa	USD/MT	3220	3500	9%	3750	16%	4500	4000	3500	3500	8,182	3,875	3,750	N/A

*Spot as of 04/22/2026

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Source: Citi Research, *As of Apr 2026, subject to revision. Please visit [this site](#) for our latest commodities forecasts

Global Foreign Exchange Outlook

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We revise down our DXY forecast over the short-term horizon (0-3 months) and turn more neutral on USD, expecting it to largely stay in the same range of the past 12 months. Uncertainty is high and cross-currents exist:

- On the one hand, a prolonged conflict or downgrade to global growth expectations would be USD-positive, particularly as de-escalation looks well-priced.
- On the other hand, hawkish G9 central banks vs a more dovish Fed would be USD-negative on rate differentials, as would more resilient-than-expected global growth.

On net, we expect relative rates will be the bigger driver in the coming months, even as our forecasts implicitly reflect some probability of a re-escalation. Looking further ahead, once we've reached peak inflation concerns and central bank hawkishness, we do expect relative growth to become the bigger driver and see marginal USD strength developing in that backdrop. We accordingly leave our 6-12 month DXY forecast unchanged.

Figure 39. Global Foreign Exchange Forecasts

		Market data*			Forecasts			Returns***		WERM 2026 Q1
		spot	3m Fwd	12m Fwd	0-3 mos	6-12 mos	long-term	3 mos rtn	12 mos rtn	
G10										
Euro	EURUSD	1.172	1.177	1.188	1.17	1.14	1.13	-0.6%	-4.0%	1.09
Japanese yen	USDJPY	159	158	155	158	152	137	-0.1%	-1.9%	99
British Pound	GBPUSD	1.35	1.35	1.34	1.34	1.27	1.30	-1.0%	-5.8%	1.35
Swiss Franc	USDCHF	0.78	0.78	0.75	0.79	0.81	0.84	1.4%	7.1%	0.91
Australian Dollar	AUDUSD	0.72	0.72	0.71	0.72	0.72	0.70	1.2%	2.0%	0.7
New Zealand Dollar	NZDUSD	0.59	0.59	0.60	0.59	0.58	0.63	-0.7%	-2.7%	0.60
Canadian Dollar	USDCAD	1.37	1.36	1.35	1.39	1.37	1.39	2.1%	1.6%	1.19
Dollar Index**	DXY	98.52	98.09	97.11	98.80	100.42	99.47	0.7%	3.4%	94.96
G10 Crosses										
Japanese yen	EURJPY	187	186	184	185	173	155	-0.7%	-5.8%	108
Swiss Franc	EURCHF	0.92	0.91	0.90	0.92	0.92	0.95	0.8%	2.7%	0.99
British Pound	EURGBP	0.87	0.87	0.88	0.88	0.90	0.87	0.4%	1.9%	0.81
Swedish Krona	EURSEK	10.78	10.77	10.75	10.80	10.65	10.50	0.3%	-0.9%	8.88
Norwegian Krone	EURNOK	10.90	10.96	11.14	10.69	10.87	11.54	-2.4%	-2.4%	7.68
Norwegian Krone	NOKSEK	0.99	0.98	0.96	1.01	0.98	0.91	2.8%	1.6%	1.16
Australian Dollar	AUDNZD	1.21	1.21	1.19	1.23	1.25	1.12	2.0%	4.9%	1.26
Australian Dollar	AUDJPY	114	113	110	114	110	96	1.1%	0.1%	75
Asia										
Chinese Renminbi	USDCNY	6.83	6.79	6.67	6.80	6.70	6.90	0.2%	0.4%	6.47
Hong Kong Dollar	USDHKD	7.83	7.81	7.75	7.80	7.78	7.80	-0.1%	0.4%	6.57
Indonesian Rupiah	USDIDR	17175	17285	17494	17200	17400	16000	-0.5%	-0.5%	14080
Indian Rupee	USDINR	93.8	94.7	97.2	94.0	95.0	96.5	-0.7%	-2.3%	83.2
Korean Won	USDKRW	1479	1476	1464	1450	1430	1400	-1.7%	-2.3%	1212
Malaysian Ringgit	USDMYR	3.95	3.95	3.93	4.00	3.95	4.30	1.4%	0.5%	3.62
Philippine Peso	USDPHP	60.1	60.4	61.1	60.3	61.0	55.0	-0.2%	-0.1%	66.1
Singapore Dollar	USDSGD	1.27	1.27	1.24	1.28	1.27	1.30	0.7%	2.1%	1.35
Thai Baht	USDTHB	32.2	32.2	31.8	32.5	32.8	34.0	1.0%	3.1%	35.1
Taiwan Dollar	USDTWD	31.5	31.6	31.5	31.5	31.0	31.0	-0.2%	-1.6%	n/a
Vietnam Dong	USDVND	26323	26680	27380	26600	27000	27300	-0.3%	-1.4%	n/a
EMEA										
Czech Koruna	EURCZK	24.4	24.4	24.6	24.5	24.4	24.2	0.3%	-0.9%	30.0
Hungarian Forint	EURHUF	364	368	377	360	350	360	-2.2%	-7.1%	421
Polish Zloty	EURPLN	4.24	4.26	4.32	4.24	4.25	4.28	-0.5%	-1.6%	4.83
Israeli Shekel	USDILS	3.00	3.00	2.98	2.95	2.90	2.90	-1.5%	-2.6%	4.48
Turkish Lira	USDTRY	44.93	48.76	61.96	45.50	53.00	60.00	-6.7%	-14.5%	39.83
South African Rand	USDZAR	16.46	16.58	16.98	16.45	16.50	16.00	-0.8%	-2.9%	11.31
LATAM										
Brazilian Real	USDBRL	4.97	5.08	5.38	5.00	5.35	5.40	-1.5%	-0.6%	5.41
Chilean Peso	USDCLP	890	891	892	920	900	925	3.3%	0.9%	801
Mexican Peso	USDMXN	17.3	17.5	17.9	18.37	17.50	20.00	5.2%	-2.4%	18.59
Colombian Peso	USDCOP	3570	3646	3893	3650	3700	3850	0.1%	-5.0%	2857

* market data including spot as of 11:30 AM NY time on 22-Apr-2026

** The DXY forecasts are implied from the forecasts of the constituent crosses. *** Returns are relative to forwards

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Source: Citi Research

Figure 40. Citi Global Economics Team (For Informational Purposes Only)

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

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